



BULL & BEAR
RESEARCH

Fall 2025 Real Estate Outlook

Retail

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INTRODUCTION

Approaches to Investments

Real estate investment strategies can be categorized into four primary types based on their risk/return profiles: core, core plus, value add, and opportunistic. Core strategies involve low-risk investments in fully-occupied and high-quality assets located in prime markets, all characteristics that offer predictable cash flows and moderate returns while protected against market volatility. Core plus strategies involve slightly higher risk, targeting steady-state properties that have minor renovation needs and require slightly higher leverage. In 2024, capital shifted away from core and core plus investment strategies at record levels, though approximately 21% of investors in the United States still favored core plus for its stable cash flows, making it the second most utilized approach.

Value Add strategies target underperforming or outdated properties in high-growth markets, aiming to boost deal returns through renovations, re-tenanting, or operational improvements. Typically, these projects have minimal cash flow but offer strong upside potential once repositioned, appealing to investors seeking moderate-to-high risk with value creation capabilities over time. Opportunistic investments carry the highest risk and involve properties in development, severe distress, or high vacancies and uncertain cash flows. These deals often require complex structuring and high leverage. In 2024, 27% of US investors favored this investment strategy, drawn by its high-reward potential and ability to capitalize on market dislocations.

Key Metrics

Investors and operators evaluate the performance and investment viability of real estate assets using a set of specialized financial metrics, including:

Rent PSF (per square foot)

Represents the average rent that each tenant pays per square foot within a property. This provides an apples-to-apples comparison of rents across properties of different sizes.

Sales PSF (per square foot)

Measures the efficiency of a property relative to its size. This is a key benchmark used when weighing tenant performance and asset productivity.

Cap Rate

Measures the potential return on investment (ROI) of a property, calculated by dividing an asset's NOI by its market value. Purchasing an asset at a lower rate means the asset's price is high relative to its income generation.

NOI (Net Operating Income)

Net income generated by a property after accounting for operating expenses, excluding financing and capital costs. Serves as a key input for valuation models like the cap rate and discounted cash flow (DCF) approach.

Occupancy Rates

Represents the percentage of available units or SF that are occupied over a given period. Occupancy reflects an asset's demand and operational efficiency as higher occupancy rates drive stronger revenues.

	Core	Core Plus	Value Add	Opportunistic
Return Ranges	7-10%, little variability	8-12%, modest variability	13-15%, some variability	20%+, significant variability
Return Split	70%+ from income Remainder from asset appreciation	60-70% from income 30-40% from asset appreciation	50-70% from income 30-50% from asset appreciation	0-50% from income 50-100% from asset appreciation
Leverage	Limited; 10-30% LTV	Moderate; 30-50% LTV	Moderate; 40-60% LTV	High; 50-90% LTV
Asset Profile/ Strategy	- Stabilized - Little/no deferred maintenance 85%+ occupied - Hold and operate	- Some lease up/ rollover - Limited deferred maintenance 70%+ occupied - Light capex	- Higher lease up/rollover - Some development or build-to-core 70%+ occupied - Major renovation or repositioning	- Ground-up asset development/ redevelopment - Little/no occupancy - Significant asset rehabilitation
Risk Profile	Lowest	Low	Moderate	Highest

REAL ESTATE OVERVIEW

Sector Definitions

Industrial

Manufacturing, production, research and development, distribution, and storage facilities are included in industrial real estate. These properties are crucial for facilitating trade and ensuring stable supply chains. The rapid rise of AI has led to the need for data centers, and the rise in demand for Industrial properties.

Multifamily

Multifamily is a subsector of residential real estate, containing residential properties with several separate housing units within a building or complex. Large apartment buildings, duplexes, and large townhomes are usual multifamily assets. Additionally, most multifamily real estate is used to generate rental income.

Office

Office or commercial real estate consists of properties specifically designed to accommodate business and corporate operations. These include high-rise office towers, single-story offices, and corporate office parks. Class A CBD office buildings are some of the most desirable and iconic real estate properties and are faring relatively well compared to suburban Class B/C offices.

Retail

Retail properties are designed for businesses that sell goods or services directly to customers and are therefore typically tailored to attract them. For example, shopping centers or strip malls are classified as retail. The tenants of these properties are often clothing stores, restaurants, and grocery stores. Retail properties have shifted since the pandemic, and there is an emphasis on experiential properties, that provide a value that shoppers wouldn't get from ordering online.

Mixed Use

Mixed-use properties include two or more of the asset classes listed above. For example, a building with retail and office units is a common type of Mixed-Use property.

Residential

Residential real estate includes any property designated for living purposes. These include single-family homes, condominiums, and townhouses. These are not considered commercial real estate properties, whereas multifamily properties are.

Investment Approach Examples

Core

An example of a core investment in real estate would be the acquisition of a Class A modern logistics facility occupied by Amazon in the Inland Empire. This is lower risk due to stable cash flows from being occupied by a credit tenant and being located in a primary market.

Core Plus

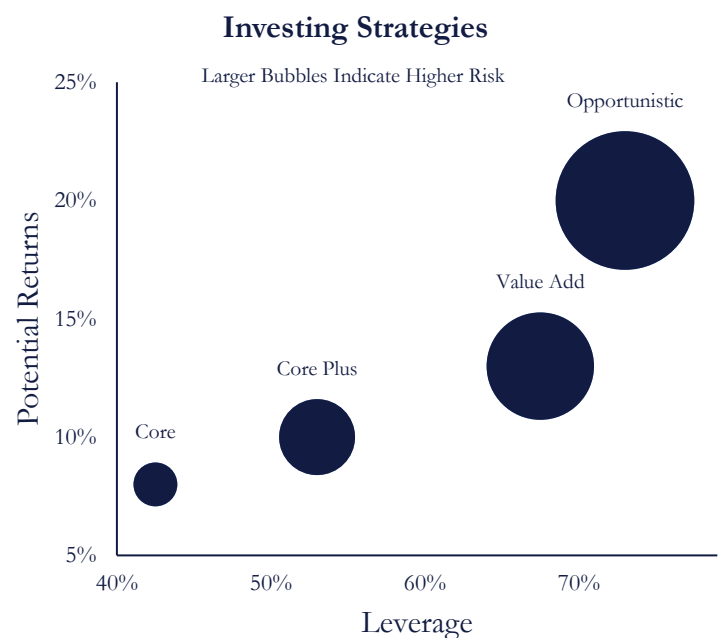
An example of a core plus investment in real estate would be the acquisition of a 2011-vintage, garden style apartment building located in Raleigh that's in need of minimal renovations. This is a lower risk profile due to the relatively recent vintage and strong market location.

Value Add

An example of a value-add investment in real estate would be the acquisition of a lifestyle center that requires renovation and repositioning towards experiential retail. This is higher risk due to the complex renovations required for experiential retail.

Opportunistic

An example of an opportunistic investment in real estate would be the conversion of a Class B office building into a Class A multifamily building. This has the highest risk profile due to acquiring a low-quality distressed office asset, and the complexity of converting an office property into a multifamily property.



REAL ESTATE SNAPSHOT

Sector Trends

Retail

Retail performance remains mixed. Well-anchored shopping centers, grocery-driven formats, and service-oriented or experiential retail continue to do well, with low vacancy and steady demand. On the other hand, traditional malls and retailers that are heavily reliant on foot traffic in weaker locations continue to face pressure. Limited new development is helping to support occupancy levels across most of the sector, with retail properties experiencing a nationwide availability rate of 4.7%.

Multifamily

New multifamily supply has slowed rent growth in some markets, but occupancy is steady. High home prices and mortgage rates keep renters in place, with the strongest performance in markets with little new construction and strong job growth.

Residential

The for-sale market remains constrained by affordability. More listings have entered the market, but high prices and borrowing costs keep many buyers sidelined. This continues to push households into renting, a trend unlikely to shift without lower rates or more supply.

Industrial

Industrial real estate remains resilient. Distribution centers, logistics hubs, and data centers remain in demand, driven by e-commerce, supply chain shifts, and cloud growth. Rent growth has cooled, but long-term fundamentals remain strong.

Office

The Office sector has struggled since the rise of remote work during COVID-19. There are signs of optimism, however, as industry sentiment holds that the worst has passed and that vacancies will decrease as property values rise. Class A CBD office spaces have done relatively well compared to suburban Class B/C spaces.

Hospitality

The hotel market has been stabilizing in 2025 after an adaptation period over the past few years. Hotels in primary markets such as NYC have been strong, while those in secondary and tertiary markets have struggled since the pandemic.

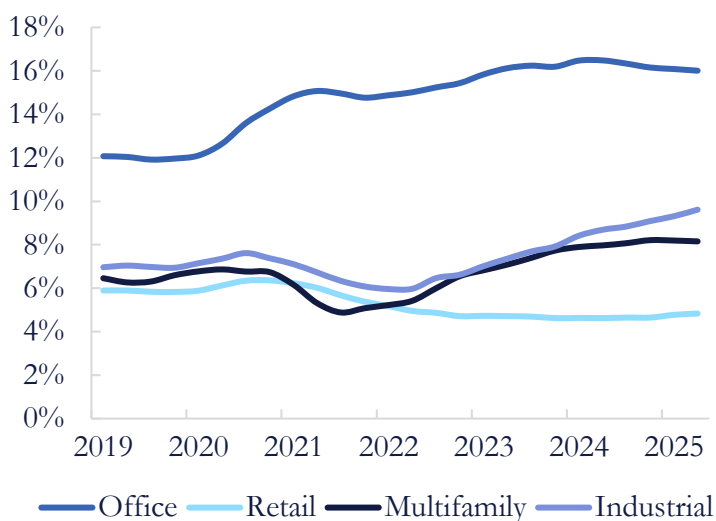
General Market Trends

The commercial real estate industry in 2025 is showing steady signs of normalization after years of volatility. While tariffs, inflation pressures, and elevated interest rates have cooled economic growth, fundamentals remain stable. U.S. GDP growth is forecast at 1.5%, yet investment activity has rebounded, with commercial real estate volume projected to reach about \$437 billion, a 10% increase over last year. Vacancy across most property types is stabilizing, supported by limited new construction and a continued “flight to quality” among occupiers.

Demand is strongest in markets with population and job growth, though slower economic momentum has stretched recovery timelines in some regions. Consumers remain resilient, with retail sales projected to outpace 2024 levels, while multifamily absorption lowered the national vacancy rate to around 4% in H1. On the supply side, office deliveries are set for a 13-year low, and industrial completions are down more than 35% from 2024, keeping availability tight and supporting rent growth prospects.

Looking ahead, cap rates are expected to gradually ease, while favorable tax treatment and resilient consumer spending should support investor confidence. Despite near-term uncertainty tied to inflation, tariffs, and fiscal policy, the broader outlook points toward slow but steady stabilization, with 2025 serving as a transitional year that sets the stage for healthier growth later in the decade.

Vacancy Rates by Property Type



FINANCING SNAPSHOT

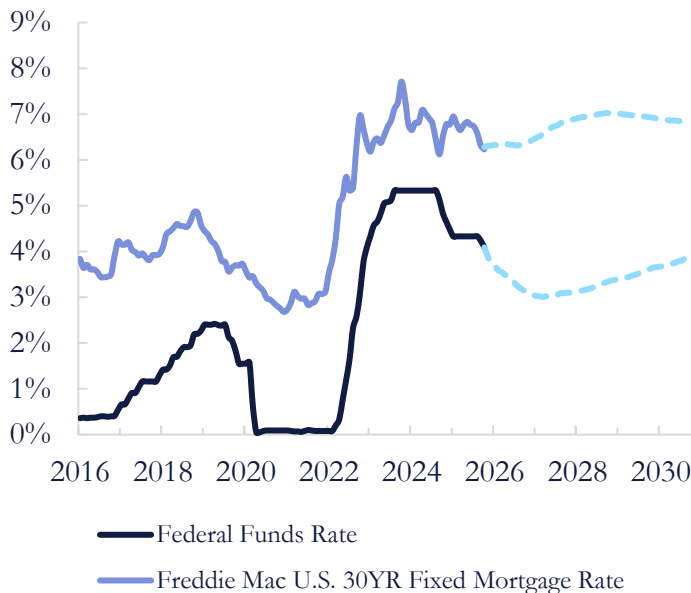
Interest Rate Environment

The Federal Funds Rate is now in a target range of 4.00 percent to 4.25 percent following the Fed's September 2024 reduction. This was the first rate cut since December 2024 and signals a shift in monetary policy after nearly two years of restrictive conditions. Policymakers cited slowing job growth, cooling wage pressures, and softer consumer demand as reasons to ease slightly, while keeping rates elevated compared to pre-2022 levels.

The 10-Year Treasury yield has recently settled around 4.10 percent, a level that reflects both moderating inflation expectations and steady investor demand for safe assets. Mortgage rates remain high, with the 30-year fixed rate averaging 6.3 to 6.4 percent, which continues to weigh on housing affordability and refinancing activity. Even though Treasury yields have moved lower, spreads remain wide because lenders are pricing in credit risk and tighter liquidity conditions.

As a result of the September cut, borrowing costs for short-term and adjustable products are beginning to ease, offering some relief for corporate borrowers and consumers alike. Long-term financing conditions remain more challenging, as mortgage spreads and credit premiums continue to dictate overall borrowing costs. Investors and borrowers are watching closely to see if the Fed follows this move with a gradual easing cycle in 2026.

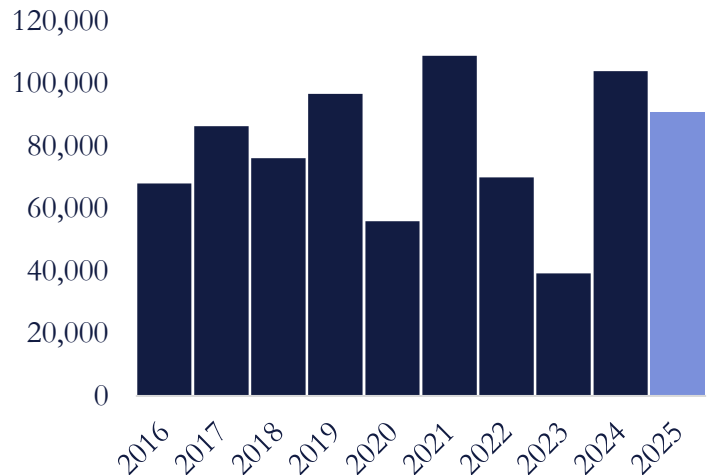
Projected Federal Funds and Mortgage Rates



Origination Rebound

Commercial real estate originations (CRE) are snapping back in 2025. Despite a volatile 10-Year Treasury yield due to tariffs and U.S. fiscal concerns, CRE investment volume has increased by 13% YoY to \$96 billion. Additionally, the index tracking CBRE's commercial loan closings in the U.S. are up 90% YoY.

CMBS Issuance Volume (Millions, USD)



Several forces are pulling capital back into the real estate origination market. Notably, PE sponsors have been waiting to refinance their investments or transact for years due to higher rates. A gradual rate easing cycle and increased economic confidence post tariff volatility is giving enough of a green light that real estate investors are taking the opportunity. Additionally, commercial real estate spreads have fallen 29 bps YoY, making debt more palatable for refinancing or new closings. Our view is that cap rates have likely passed their peak and may compress modestly as the economic outlook aligns with Fed expectations. Retail cap rates are projected to fall roughly 24 bps from their 2024 peak through 2025, though lenders will still require conservative underwriting across Class A–C assets. With banks in strong fiscal health and private capital holding ample dry powder, a broad mix of lenders is set to fuel an origination rebound. Lastly, private debt funds, with higher risk appetites, will continue financing niche or opportunistic retail deals. Since the 2023 collapse of three major banks, liquidity and balance sheets have strengthened, and lenders are entering 2025 more active across multifamily, industrial, and retail lending.

FINANCING METHODS

Public Markets

Public market real estate transactions involving Equity REITs are financed through unsecured corporate bonds, revolving credit facilities, secured mortgage debt, and common and preferred equity. Since REITs distribute 90% of their taxable earnings as dividends, their growth is very reliant on these external financing sources.

Unsecured Corporate Bonds

REITs will often issue unsecured corporate bonds to raise capital. Property doesn't serve as collateral on these bonds, but investors have claims to the REIT's corporate cash flows and unencumbered assets.

Revolving Credit Facilities

REITs utilize floating-rate revolving credit facilities from banks to access immediate liquidity that they draw on to fund acquisitions, asset repositioning, and development. Lenders have claims to REIT's corporate cash flows and unencumbered assets, creating equal seniority with unsecured corporate bondholders.

Preferred Equity

REITs issue preferred equity shares to investors that offer fixed returns that are slightly above their bond yields. They have no maturity but can typically be bought back at a fixed price by the issuing REIT after five years. These shares rank above common equity but below all debt in seniority.

Common Equity

REITs issue common equity shares that offer returns through dividend yields and appreciation. They are junior to all other capital sources and only have residual claims after all debt and preferred equity.

Activity & Performance

In recent years, REITs have lowered leverage due to higher interest rates. This has required increased equity share issuance, diluting FFO/share and pressuring prices. However, with recent rate cuts, REITs have increased debt issuance, which may reverse this trend.

Private Markets

Private market real estate transactions are typically financed through a combination of senior debt, mezzanine debt, preferred equity, and common equity, which collectively are referred to as "the capital stack". The expected returns and repayment priority are driven by each layer's relative risk levels.

Senior Debt

Senior debt investments are first in line to be repaid and have the property serve as collateral on their investment. It is the most senior part of the capital stack and has the lowest risk/return profile with fixed interest payments.

Mezzanine Debt

Mezzanine debt is repaid after senior debt and is secured by a pledge of the borrower's equity, giving them the right to take over the ownership entity in a default. It has a higher risk/return profile than senior debt, with contractual interest payments and the potential to participate in equity upside.

Preferred Equity

Preferred equity is repaid after all forms of debt, but before common equity. It receives a fixed preferred return on the project's distributable cash flow but has no collateral or claims in the event of a foreclosure. It can only exercise contractual controls on the common equity holder.

Common Equity

Common equity holds all ownership of cash flows after full repayment of the other investors and has no claims in default. It is the most subordinate layer of the capital stack and has the highest risk/return profile.

Activity & Performance

Elevated interest rates in recent years have lowered the senior debt being offered towards projects, leaving larger gaps in the capital stack. This has increased the need for mezzanine debt, preferred equity, and common equity, and has challenged the economics for potential projects.

Capital Type	% of Capital	Expected Return	Seniority
Senior Debt	45-70%	5-8%	1st
Mezzanine Debt	0-20%	9-14%	2nd
Preferred Equity	0-20%	12-20%	3rd
Common Equity	30-55%	15-25%	4th

REIT MERGERS AND ACQUISITIONS

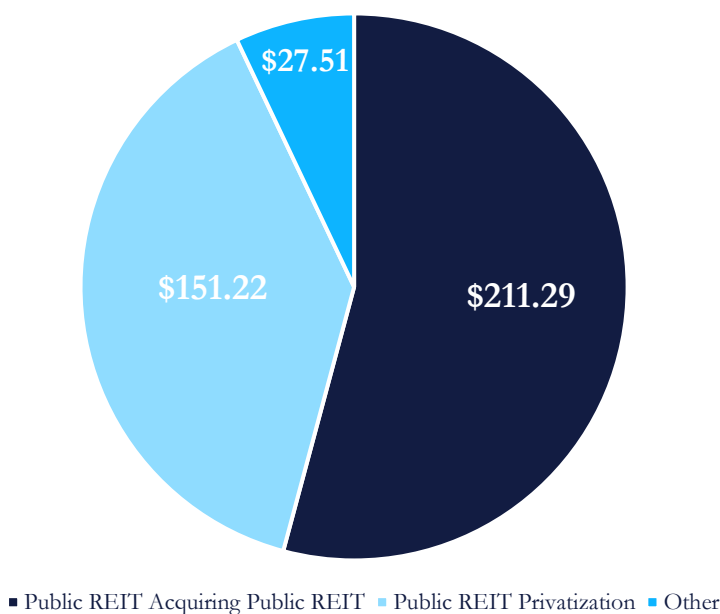
Industry Benchmarks

Increased interest rates and higher associated costs of debt have largely slowed REIT M&A deal flow, with investor sentiment remaining cautious. In the first half of 2025, public-to-private REIT transactions remained limited, with only two public REIT M&A deals formally announced, both in the healthcare segment. This slowdown is stark in comparison to the \$12.9 billion in deals in 2024 and \$44 billion across 11 deals in 2023. ESG financing also slowed noticeably, with just one major sustainability-linked issuance of around €1.6 billion, as most REITs leaned on traditional capital instruments to preserve flexibility ahead of potential acquisition windows.

Liquidity Dynamics

Despite the standstill in M&A transactions, REIT capital markets remain active. REITs have raised roughly \$12.2 billion in Q1 and \$22.5 billion in Q2 through a mix of unsecured debt and common equity. Q3 added another \$21.3 billion, about \$14.0 billion in debt, \$6.6 billion in equity, and \$740 million in preferred equity, marking one of the strongest consecutive issuance periods in recent years. Yet despite this liquidity, M&A premiums remained tight, with most transactions clearing near stated NAV rather than at the double-digit takeout multiples seen in prior cycles, signaling disciplined underwriting.

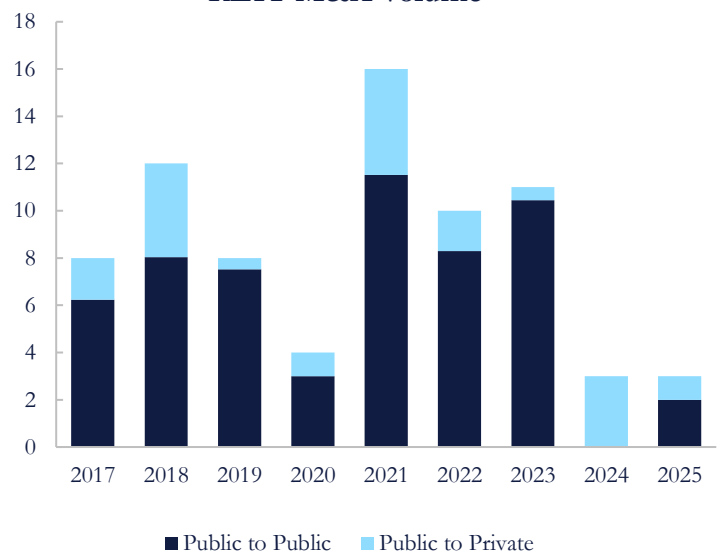
Real Estate M&A Deal Value (2017–2025)



Privatization Spotlight

One of the few notable platform-level moves in 2025 was Rithm Capital’s \$1.6 billion all-cash acquisition of Paramount at \$6.60 per share. Rather than a pure asset play, the transaction reflects a focus on scaling fee-based revenue streams and using private capital structures to reposition legacy office assets outside the constraints of a traditional public REIT model. The deal illustrates a broader market shift toward acquiring fully integrated operating platforms with established sponsor relationships, distribution channels, and capital deployment infrastructure, rather than simply purchasing individual property portfolios.

REIT M&A Volume



Outlook

Market sentiment suggests that late 2025 into 2026 could spark more consolidation if credit spreads tighten and public–private valuations align. Logistics, data infrastructure, and stabilized multifamily REITs are expected to lead as financing costs ease. The combination of disciplined underwriting and improved access to debt could facilitate an increase in transactions through 2026. With liquidity in place and dry powder high, many REITs are already lining up acquisition pipelines in anticipation of better pricing conditions. The privatization of public REITs is positioned to gain momentum, driven by greater flexibility offered by private capital markets. Strategic M&A aimed at scaling operational efficiencies and diversifying portfolios could further define the next phase of sector recovery.

REGULATORY LANDSCAPE

Government Sponsored Enterprises

Fannie Mae and Freddie Mac continue to anchor liquidity in the residential and multifamily mortgage markets. Their role has expanded as banks remain conservative lenders. Issuance of agency CMBS slowed through 2024 but has stabilized in 2025, particularly in multifamily housing, where delinquency rates remain low compared to office assets. Government-sponsored enterprise (GSE) involvement has kept spreads tighter than those seen in private-label CMBS, offering borrowers a relatively more affordable option for financing. In addition, the enterprises have maintained steady investor demand, helping absorb refinancing volume that private lenders might not take on.

The Push to Privatize GSEs

In 2008, the U.S. government bailed out Fannie Mae and Freddie Mac, placing them into conservatorship and injecting tens of billions of capital to stabilize the housing market. Consequently, the U.S. government holds a senior preferred claim of over \$348 billion across Fannie Mae and Freddie Mac (\$216 billion, \$132 billion). Because all earnings are swept to meet the growing senior preferred claim, theoretically the common stock should be worthless as seen reflected in the low price prior to 2025.

Today, the current administration is pushing to privatize both GSEs through a public offering or restructuring the bailout charter to reduce the governments footprint in housing and unlock value for investors. The prospect of regaining access to future cash flows has sent the stock price of both GSEs reeling by speculative investors. Additionally, there is an ongoing debate among policymakers and investors over how much taxpayers should be ultimately repaid for the bailout and how to best release the GSEs in a way that fairly raises capital without disrupting the mortgage credit market. As mentioned above, GSE involvement has kept spreads tighter than those seen in private-label CMBS. Therefore, diminished government support for GSEs could widen mortgage spreads and raise financing costs for the mortgage and real estate market. This could ultimately raise mortgage rates for Americans and slow new residential and retail development.

Basel III Endgame

Basel III was developed in response to the 2008 Great Financial Crisis by the Basel Committee on Banking Supervision to strengthen capital, leverage, and liquidity regulation. The main goal was to prevent another banking crisis, reduce risk, and improve financial stability. While large banks are well capitalized, the regional banking crisis in March 2023 renewed regulators' focus on bank resilience. Thus, the final phase of regulation, Basel III Endgame, is expected to be fully implemented by 2028. The amendment increases risk-weighted assets for certain loans, which especially affects commercial real estate and trading. Regulators are emphasizing tighter risk models and higher-quality capital, leading to many banks tightening their lending to meet these higher capital requirements. The tighter regulations could limit credit availability, as banks shift towards safer assets to manage capital ratios, and the cost of capital is likely to rise for banks. Real estate investors and developers now may face harsher loan terms, lower leverage limits, and more due diligence requirements. Refinancing may also be limited due to difficulty in renewing loans at favorable terms. In response to tightening regulations, there will likely be an increased shift towards private debt funds, REITs, and institutional investors to fill the funding gap. Therefore, banks have been critical of these reforms, seeing it as overly burdensome. Consequently, the Federal Reserve has stated that bank agencies are poised to unveil a more industry-friendly version of capital rules by 2026.

GSEs Historical Price (\$USD)



The BBR logo consists of the letters 'BBR' in a white, serif font, enclosed within a white rectangular box. The background of the entire page is a photograph of a modern shopping mall interior. It features a large, curved glass and green metal skylight structure at the top, and white, wavy, sculptural columns in the foreground and middle ground. In the background, a Dior store is visible with its name on the wall.

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Retail Trends

RETAIL OVERVIEW

Forms of Retail

Standalone

Single-tenant buildings like pharmacies, banks, or drive-throughs, usually under 10,000 sq. ft., along busy roads. They're valued for stable leases and reliable cash flow.

Strip Malls

Small open-air plazas (20,000–125,000 sq. ft.) serving nearby communities. Tenants often include grocery stores, salons, and quick-service restaurants. Known for steady demand and necessity-based shopping.

Power Centers

Large shopping centers (250,000–600,000 sq. ft.) anchored by big-name retailers like Target, Home Depot, or Best Buy. They attract strong traffic and maintain low vacancy rates thanks to national tenants.

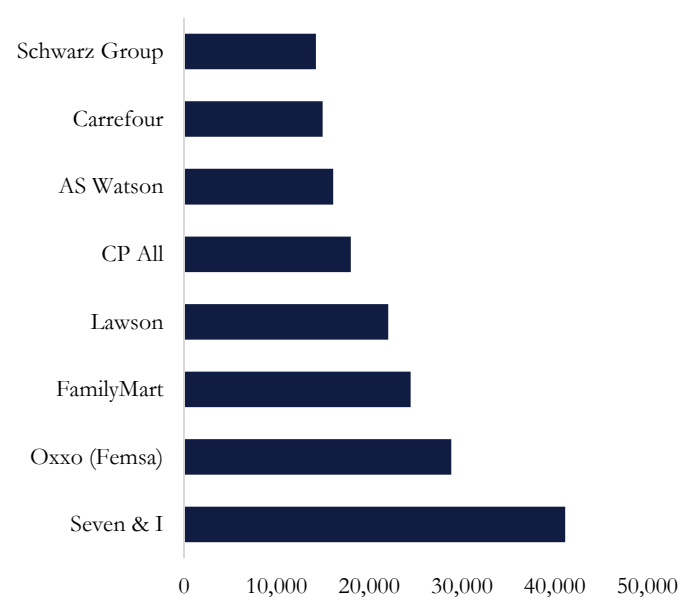
Lifestyle Centers

Outdoor retail destinations mix shopping, dining, and entertainment. Stores like Apple, Sephora, and Lululemon drive traffic alongside restaurants. These centers benefit from rising experiential spending.

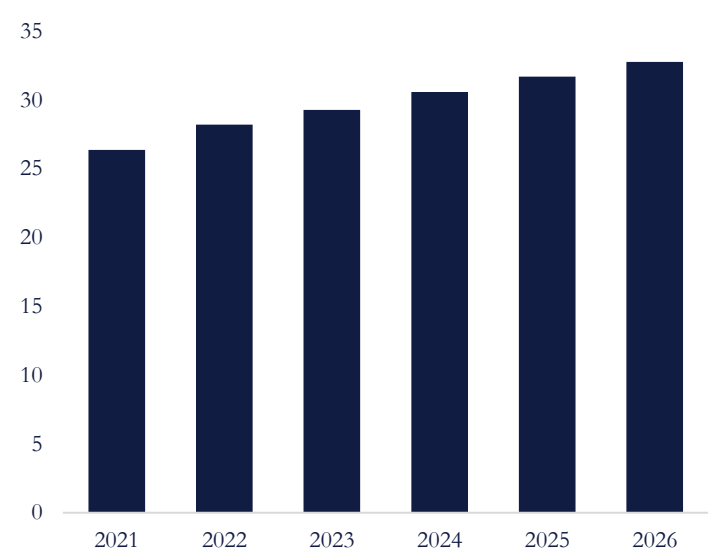
Regional Malls

Enclosed malls anchored by department stores or entertainment venues such as Macy's or AMC Theatres. While some are undergoing redevelopment, top-tier malls continue to perform well by incorporating food and leisure elements.

Leading Retailers Worldwide in 2024, by
Total Number of Stores



Total Retail Sales Worldwide from 2021 to
2026 (in \$ Trillions)



Retail Market Landscape

Throughout the first half of 2025, the United States retail sector has experienced negative absorption due to a national trend of bankruptcies and closures. Despite this, vacancy has remained at 4.7%, which is slightly below the 10-year average of 5.8%. This reduced vacancy has resulted in rents growing 1.9% year-over-year through the first half of 2025. Growing rents and reduced vacancy in the face of negative absorption can largely be attributed to minimal construction activity across the sector and a significant supply of obsolete properties.

Only 50 million square feet are currently under construction, a level that has only been tracked four other times. Additionally, only 42.6 million square feet were delivered in Q2 2025, the lowest level recorded since 2008. This limited construction has been paired with the demolition or repositioning of 157 million square feet of obsolete space.

Valuations have stabilized across the sector, as limited construction and supply have helped spur rent growth. This has come off a long period of cap rate expansion, with transactions now occurring with cap rates around 7%. As a result, bid-ask spreads between buyers and sellers have narrowed, which prompted a 38% year-over-year increase in investment sales across the sector through the first half of 2025.

RETAIL HEADWINDS

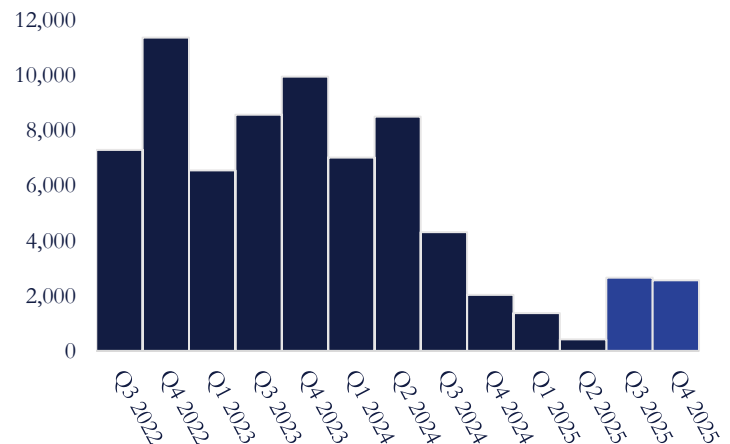
E-Commerce

In 2024, e-commerce accounted for over 55% of the growth in American retail sales of goods; in-store sales grew by only 1.8%. This has caused many retailers to reconsider the channels through which they sell their products. Many retailers are downsizing their physical footprints and expanding their online channels. It is estimated that retailers are shrinking their footprints by nearly 2% per year. This has driven demand for industrial real estate properties, such as warehouses/distribution centers, while inhibiting demand for retail centers, including shopping malls. Retailers have adapted to these shifts in demand by focusing on customer experiences. This includes incorporating more mixed-use properties into retail strips, adding restaurants, or beautifying their properties, making them places where customers would go for enjoyment rather than necessity, since it is often more convenient to shop online. This has led retailers to focus more on location and customer experience than anything else. Investors are aware of this and are budgeting for higher location premiums and increased tenant improvement (TI) allowances to ensure that retail properties can continue to compete with the convenience of online shopping by offering a sense of community and a sense of activity.

Struggling Big-Box Retailers

Shopping centers have experienced nearly 3 years of positive net expansion, which has driven vacancy rates downward. This number has started to tick upwards recently. In 2024, U.S. retailers closed almost 1,300 more stores than they opened. From January to March 2025, retailers vacated 6 million more square feet of space than they occupied over that time frame. Big-box retailers, including Party City, Joann, and Big Lots, have gone bankrupt and closed many locations, while pharmacy chains such as CVS and Walgreens have undergone massive downsizing. While retail vacancy rates are still relatively low overall, macroeconomic factors affecting retailers, such as consumer spending and the ongoing threat of tariffs, are worth watching for investors. These pressures have made both retailers and landlords more cautious, leading many of them to rethink their plans for the next few years. Because of this, even parts of the retail market that used to feel stable are now starting to show early signs of change.

Retail Construction Completions



Tariffs

Recent U.S. tariffs have had a significant impact on retail and commercial real estate, affecting both development costs and broader market performance. In June 2025, U.S. tariffs on steel and aluminum generally increased from 25% to 50%, significantly raising the cost of key construction materials. These elevated costs place financial pressure on developers and landlords, as they increase the capital expenditures required for ground-up retail development and renovations. Shopping center development has been particularly impacted, with national construction rates declining by 23% as of May 2025. Planned development projects have been increasingly deferred or canceled, as many developers reassess project feasibility. In response, there has been a notable shift away from new construction toward repositioning existing retail assets to avoid escalating development costs.

Retail tenants are also heavily impacted by higher procurement costs, which have partially contributed to the recent increase in bankruptcies and store closures. Retail bankruptcies increased 18% year-over-year, underscoring the destabilizing effect tariffs have on the sector. Highly associated costs of goods have also severely limited retail tenants' ability to expand and renegotiate leases. In Q2 2025, the national retail vacancy rate increased 10 basis points to 4.3%, reflecting both reduced tenant expansion and an increase in bankruptcies. Trends of increasingly shorter lease terms and rent concessions can also be attributed to the financial strain that tariffs have imposed on both landlords and tenants.

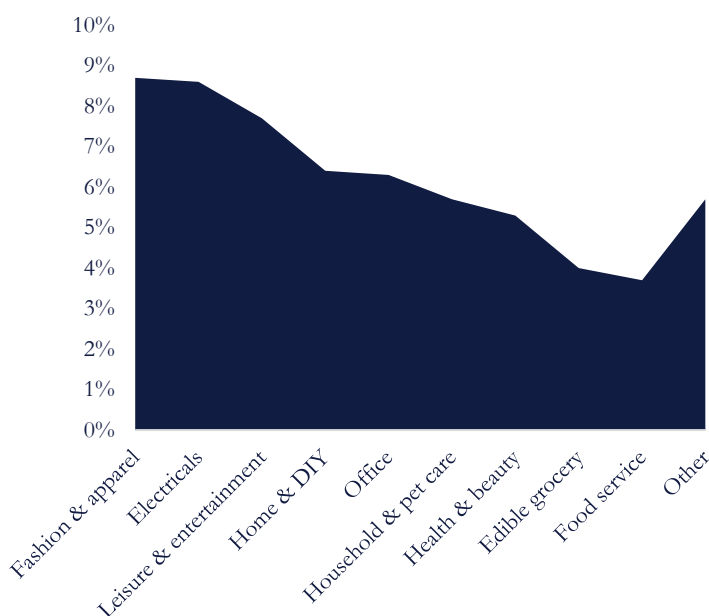
RETAIL TAILWINDS

Tight Availability

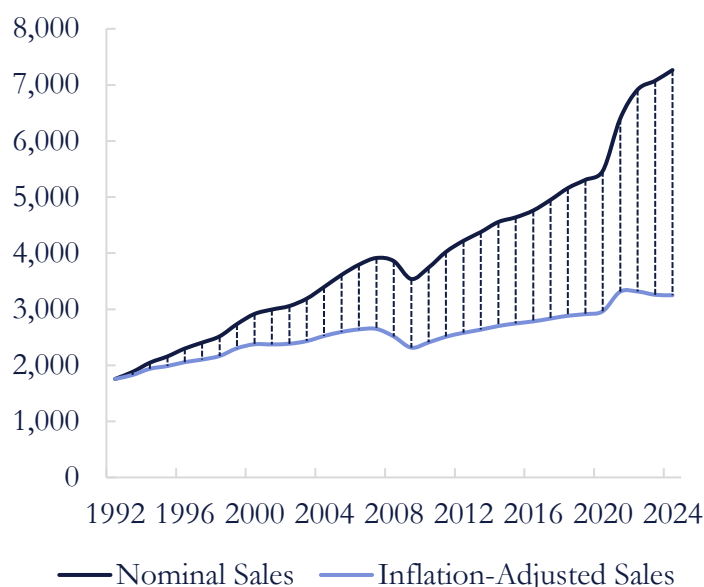
Tight availability can be a major retail tailwind, driving demand, increasing perceived value, and enabling greater pricing power. This phenomenon is rooted in the psychological principle of scarcity, where consumers are more likely to purchase and pay more for items that are limited or harder to find. Retailers who strategically manage inventory to maintain balanced but lean stock levels can reduce markdowns, protect margins, and create a sense of urgency that enhances their brand desirability and turnover efficiency.

In the retail real estate sector, tight availability extends beyond products to the physical spaces themselves. Retail availability in the U.S. sits near a 20-year low at 4.7%, reflecting limited new construction and steady leasing activity. Availability is particularly limited in high-growth markets where retail construction has not kept pace with surging population and consumer demand. Cities like Austin, Orlando, and Nashville are seeing some of the lowest availability rates in the country, around 2–3%. Constrained supply in well-located centers allows retailers to secure prime space with minimal competition, while investors benefit from stable occupancy and rising asset values. In essence, tight availability not only heightens consumer demand but also reinforces the financial resilience and pricing power of both retail operators and property owners.

Global Retail Sector CAGR (2021-2026)



United States Retail Sales (USD, Billions)



Consumer Resilience

U.S. consumer spending in 2025 has displayed strong resilience in the face of tariffs and a declining consumer confidence index. For instance, the National Retail Federation forecasts that retail sales will grow between 2.7% and 3.7% in 2025. This is in line with inflation, indicating flat real growth in consumer spending. Consumers are maintaining their spending levels despite higher interest costs and near-zero growth in real disposable income. Even with those constraints, public retailers are reporting strong sales figures and earnings beats, with Costco reporting a year-over-year sales increase of 8% in September 2025.

Foot Traffic Recovery

Foot traffic at physical locations is showing a recovery, reinforcing demand for brick-and-mortar and mixed-use properties. According to Collier, retail foot traffic is up 1.8% year-over-year, with clothing store visits increasing by 6.7%. These signals indicate that shoppers continue to value physical shopping despite the growth of e-commerce. This sustained foot traffic should support tenant sales and higher lease renewals. Mixed-use properties are poised to benefit in the coming years as trends such as walkability and sustainability continue to be highly valued by consumers. Ultimately, retail foot traffic has increased significantly every year since the pandemic and is expected to continue this trend.

ECOMMERCE DISRUPTION

Initial Emergence

In the late 1990s and early 2000s, e-commerce began to hold a significant role in business-to-consumer sales across the US. This was prompted by the launch of firms such as Amazon and eBay that provided consumers with access to online retail sales. The growth of e-commerce largely benefited from the launch of Netscape Secure Sockets Layer encryption in 1995, as it increased consumer confidence in online transaction protection. Over the decade, the convenience of e-commerce led to retailers like Amazon expanding their offerings, with Amazon transitioning from being a book retailer to a seller of appliances, clothing, groceries, and other miscellaneous goods. E-commerce has since grown to accommodate and adapt to various uses. Many businesses now operate entirely online, while others offer both in-person and virtual shopping options. E-commerce has also provided a platform for individual retailers to sell their goods on digital marketplaces, such as eBay and Etsy.

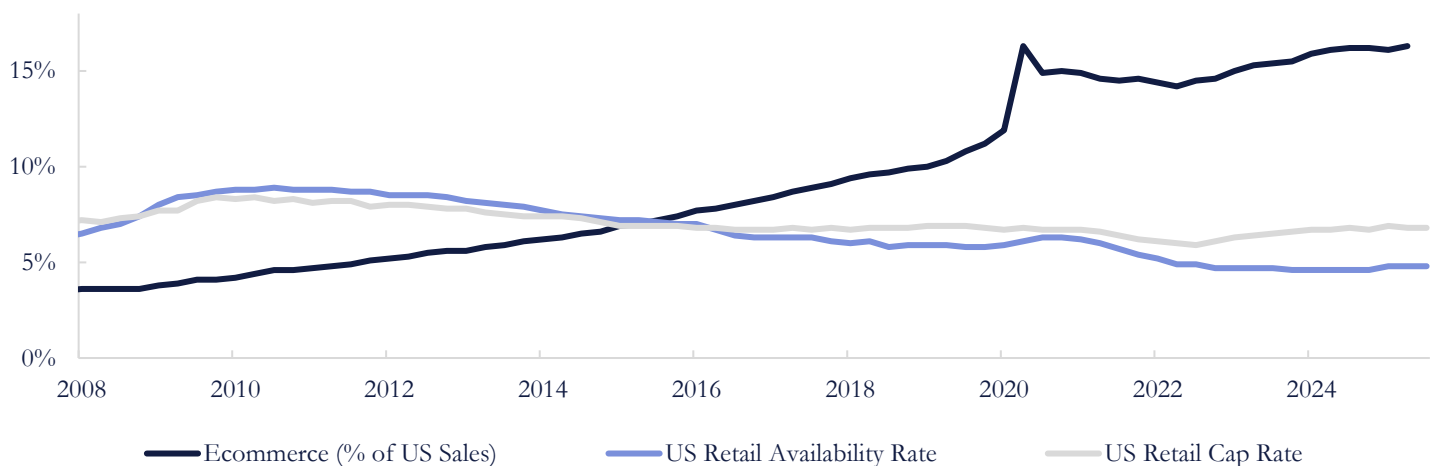
Threat Materialization

Risk Analysis of Retail CRE		
Metrics	2020	2024
Number of store closures	12,000	7,325
Number of retail bankruptcies	40	51
Retail CRE Net Absorption	-29.6M	-32.4M

COVID-19 Acceleration

COVID-19 significantly impacted the e-commerce industry, as it forced retailers and consumers online in 2020 and 2021. COVID-19 facilitated the shift from in-person shopping and physical storefronts to accessible online platforms. The temporary decline in foot traffic led to an increase in store closures, with 9,700 closures reported during 2020 alone. Family businesses and brick-and-mortar retailers were forced to rapidly innovate and adapt to the only feasible method of shopping, causing a stark acceleration of the e-commerce industry. COVID-19 also drove consumers to online sales, further expanding the e-commerce industry. As restrictions lifted and in-person shopping once again became available, consumers who recently adopted e-commerce did not transition sharply back to in-person shopping. To increase in-person shopping, retailers began introducing experiential retail and an omnichannel strategy to differentiate between online and in-person shopping experiences.

Ecommerce Growth v. U.S. Retail Performance



EXPERIENTIAL RETAIL

Omnichannel Integration

Prior to COVID-19, e-commerce was growing in popularity but was not harming in person sales. During the global pandemic, COVID led to greater adoption of e-commerce, and subsequently, the emergence of omnichannel strategy. An omnichannel approach to retailing includes the integration of online offerings and in-store customer experience. A common example most consumers are familiar with is buying an item online and picking it up or returning it in store. This shift improved consumer convenience and accessibility, and recently, 73% of retail shoppers can be classified as omnichannel. It also promotes stores as shopping outlets and fulfillment centers, paralleling logistical industrial facilities. This newfound flexibility has significantly reduced shipping and delivery times, further increasing operational efficiency. It is now an expectation for customers to be able to browse online, buy in person, and return items to any location. Omnichannel integration also triggered the emergence of experiential retail and integrated entertainment centers, which currently act as marketing centers and drive foot traffic.

Outlook

As e-commerce continues to dominate the retail space, there will be an uptick in omnichannel integration and retailtainment across all subsectors of retail. These trends will force retailers to remain adaptable to consumers' interest, whether that be by regularly updating interactive displays to hosting pop-up events. Retail spaces will also continue to function as fulfillment centers and modernized warehouses to provide greater accessibility to consumers. Omnichannel strategy and retailtainment are also impacting capital flows and investor strategy. Retailers who are able to successfully integrate retailtainment in their physical storefronts will reap the benefits of increased investor confidence: strong cash flow, lower vacancy rates, and a competitive edge against e-commerce competitors. Omnichannel strategy will also increasingly impact grocery anchor tenants, as online grocery ordering and pick up in store is continuing to rise in popularity. If retailers don't adapt to these trends, they will likely be driven to bankruptcy due to e-commerce market dominance.

Retailtainment

Retailtainment, also referred to as experiential retail, has transformed in person shopping centers from places to purchase necessary goods to experiential must-see destinations. Retailtainment strength lies in its ability to combine traditional in person shopping with entertainment aspects unique to their in-person location. Some common examples include workshops hosted in physical storefronts, demonstrations of products or services, interactive displays, aesthetic social media offerings, and play zones. Retailtainment is currently being utilized by retailers of every scale and in retail subsectors ranging from regional malls to standalone storefronts. E-commerce reduces demand to shop in-person at storefronts but does not change the demand for the goods currently being sold by existing in-person retailers; by providing experiences that draw consumers to in-person shopping locations, retailers successfully generate increased foot traffic and drive demand up for their in-person store offerings.



Pictured above is the American Dream Mall, located in East Rutherford, New Jersey. This regional mall opened in 2004 and has since expanded to 3 million square feet. Known for their experiential retail, the American Dream Mall allows shoppers to enjoy an ice-skating rink open year-round (pictured above), a Nickelodeon Universe theme park, DreamWorks Water Park, indoor ski and snowboard park, and Legoland discover center. Other offerings that drive foot traffic include arcades, mini-golf, laser tag, and dining options. Overall, consumers shop at the American Dream Mall to attend their many attractions, as well as to purchase traditional goods and services.

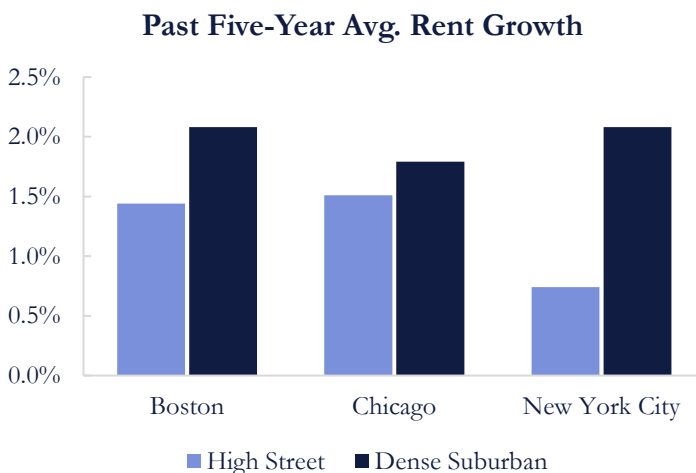
CREDIT TENANTS

Anchor Tenants

Anchor tenants have been a cornerstone of the retail industry for their ability to provide significant stability to their greater shopping center. Their presence typically offers predictable and sustained rent income through long lease terms, usually spanning 10 to 25 years. Additionally, anchor tenants tend to be well established in their respective market and have strong credit ratings. The inclusion of a large creditworthy tenant reduces perceived risk for the property, driving appeal to lenders and institutional investors. They provide further stability through their ability to attract customers extends beyond their own storefront. Usually a well-known retailer, they draw a substantial number of customers to the shopping center, benefitting the smaller tenants surrounding by increasing overall foot traffic and exposure. Anchor tenants are uniquely positioned to foster a healthy tenant ecosystem because of their high credit worthiness in combination with long lease terms and ability to drive significant increases in customer foot traffic.

Rent Growth Pressure on Tenants

Dense suburban retail districts, often owned by retail REITs and private investors, have seen rents grow faster than the central locations of the city known as High Street. Dense suburban retail districts include residential areas with a businesses and entertainment-focused downtown. Increased population shift in these areas has driven demand for convenient, service-oriented retail centers, appealing to retailers who specialize in essential products and lifestyle services. This growth could put pressure on smaller suburban tenants.



Large Tenant Credit Ratings

Company	Credit Rating	Change in 2025
Walmart	AAA	Neutral
Costco	AA	Upgrade from A+
Target	A	Neutral
TJX Companies	A	Neutral
Home Depot	A	Neutral
Kroger	BBB	Neutral

Credit Analysis

Walmart, Costco, Target, TJX, Home Depot, and Kroger continue to be the backbone of many retail portfolios. Walmart and Costco have reinforced their investment grade status with strong cash flows and delivering quarterly earnings beats. Target's credit outlook has shown some strain due to margin pressure, which leads to increased risk for the surrounding retailers that rely on Target to bring in customers. Grocers like Kroger are in a fiercely competitive market, pitted against major retailers like Amazon's Whole Foods, Trader Joe's, and Stop & Shop. Despite the difficult competitive landscape, they still often remain strong anchor tenants for strip malls and community shopping centers.

The rise of e-commerce has historically hurt typically strong anchor tenants, posing a risk for retail real estate investors. For example, Bed Bath & Beyond's bankruptcy was driven mainly by lack of adaption to e-commerce in April 2023 and the closure of 480 stores left vacancies in numerous malls and shopping centers. Investors should closely watch how large retailers adopt experiential retail and continue to navigate e-commerce.

Additionally, as the federal reserve continues to cut rates as forecasted, the credit quality of anchor tenants should increase, as it becomes cheaper to service debt. Overall, anchor tenants will continue to perform strongly, aided by lower rates, if they can successfully navigate current e-commerce headwinds.

MARKET COVERAGE: NYC

Impact of COVID-19

New York City's retail sector has historically been stable, with tourism greatly benefiting in-person shopping retailers. During COVID, the lack of tourism and rise of e-commerce severely hurt the retail sector, with recovery initially slow and uncertain. Although e-commerce is still dominant, foot traffic has increased over the past five years, as experiential shopping has increased tourism and drives in-person shopping demand. Experiential retail was instrumental in NYC's retail recovery due to it differentiating the in-person shopping experience from e-commerce's efficiency. In combination with social media, shopping destinations in SoHo, Chelsea, and the Plaza District have surpassed pre-COVID popularity. New York's ability to adapt to shifting consumer preferences highlights the resilience and enduring appeal of its retail neighborhoods.

Outlook

The outlook for NYC's retail market is cautiously positive, with tourism recovery and experience-driven strategies key to the continuation of strong performance. Despite headwinds like e-commerce, elevated rents, and limited new supply, the market has adapted to the growing want for efficient shopping experiences and the emphasis on interactive, immersive experiences. Over the next five years, experiential and omnichannel retail will remain the dominant growth strategy. Average asking rent reached a record high in Q2 2025 at \$621 per foot and is expected to continue to climb. To accommodate for elevated rents, flexible and efficient uses of space like pop-up shops or in-person pick-up locations will remain popular.

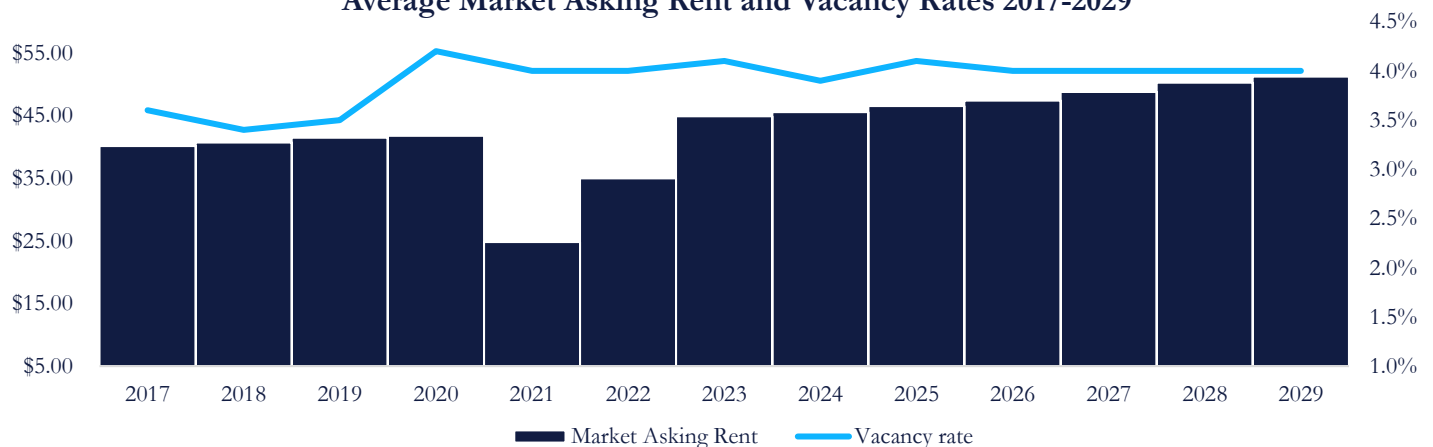
Experiential Retail

Experiential retail played a crucial role in NYC's retail recovery following the COVID-19 pandemic, particularly in neighborhoods like SoHo. Once known primarily for luxury boutiques, SoHo has recently adapted to include immersive brand experiences and accommodate omnichannel shoppers. Brands, such as Glossier, have adapted their storefronts to cater to the experiential retail trend. Beyond purchasing products at Glossier's location, shoppers can use their interactive display to try the brand's latest products, take photos for their social media platforms, and meet with brand representatives. Unique experiences, such as Glossier's, along with various pop-up shops, are the primary drivers of in-person shopping in SoHo. For landlords, spaces are being redesigned to accommodate pop-ups, co-retailing, and rapid brand rotations, allowing them to remain flexible in response to dynamic trends.

Omnichannel Approach

Besides shifting towards experiential retail, omnichannel strategies have become dominant in SoHo. In response to the rise of e-commerce, NYC retail tenants and landlords went from fully in-person sales to integrating digital platforms with physical commerce and locations. Retailers in SoHo have specifically popularized using QR codes, app integrations, and in-store pickup options to seamlessly connect in-person stores with e-commerce platforms. These diversified options given to shoppers are strongly contributing to the stability of NYC's retail market.

Average Market Asking Rent and Vacancy Rates 2017-2029



MARKET COVERAGE: MIAMI

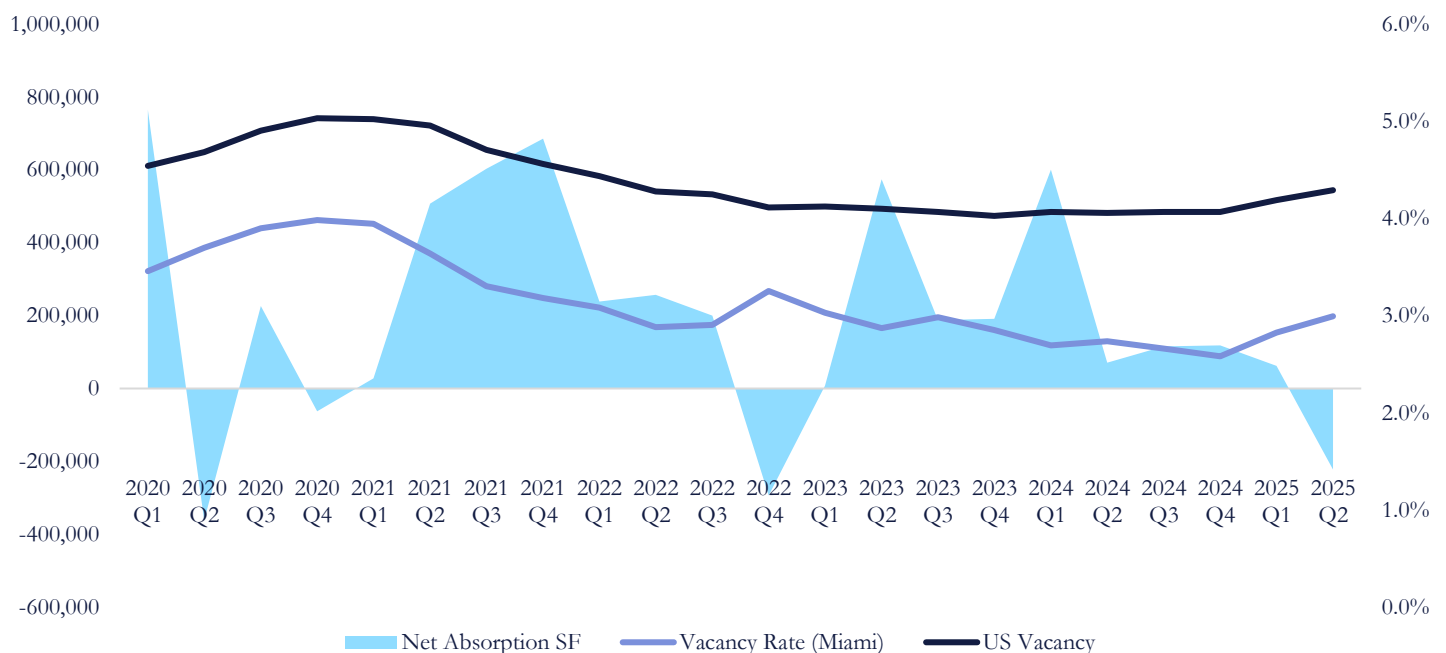
Submarket Analysis

Miami’s urban retail markets have excelled recently, despite downtown Miami experiencing a nearly 13% vacancy rate, and Wynwood seeing over an 8% vacancy rate (Wynwood, however, saw a net absorption of 19k sf during Q2 2025). However, downtown Miami has no new completions in Q2 2025 and has no square footage under construction. Brickell, on the other hand, is one of America’s hottest markets. There are only 16 retail buildings in the entire neighborhood, including the 500k sf Brickell City Center, which was just sold to Simon Property Group for \$512 million. It’s seeing a vacancy rate of 2.4% and a positive net absorption; there are nearly 200k sf of new construction in this submarket to address this undersupply. The tourist hotspot of Miami Beach has also remained strong. While vacancy rates are above the CBD average at 5.6%, the NNN asking rate (per SF) sits at over \$107, with no new deliveries and a positive net absorption this past quarter. Miami’s suburban submarkets have also seen relatively low vacancy rates. The historically strong neighborhoods of Coconut Grove and Coral Gables are experiencing respective vacancy rates of 0.6% and 0.5%, and NNN direct asking rates (per square foot) of \$86 and \$65. These are anchored by the famous “miracle mile,” which is a boulevard full of restaurants, shops, art galleries, and boutiques.

Supply/Demand Drivers

There has been a slowdown in deal activity throughout the first half of 2025, with retail leasing volume down 11.4% YoY. This is paired with supply outpacing demand, as net occupancy losses totaled over 340,000 sf. This recent downturn in net absorption could also be viewed as a market correction, as Miami boasts one of the lowest retail vacancy rates in the county at 3.1%. This is up 40 bps YoY but still sits well under the national average of 4.3%. Continued growth is also forecasted, with 91.8% of the 704,000 sq. ft. of new development already pre-leased. Vacancy rates across retail properties in Miami are relatively similar (min of 2.5% in strip centers and power centers, max of 3.2% in neighborhood centers and general retail properties). There is also a minimal discrepancy when analyzing differences in cap rates. Cap rates for power centers are at nearly 6.2%, while those for general retail properties are at 5.5%. Malls, neighborhood centers, and other retail properties all have a cap rate of about 5.8%. Despite the interest rate volatility over the past couple of years, cap rates in Miami have remained steady, with power centers’ cap rates showing the most fluctuation, decreasing by 40 bps over the past four years. The market is fundamentally strong, as in-store sales in Miami have held constant since before the pandemic, despite a dip in 2020-2021.

Miami Net Absorption, Vacancy Rate vs US Market Average



GLOBAL TRENDS: THE EU

Supply and Demand

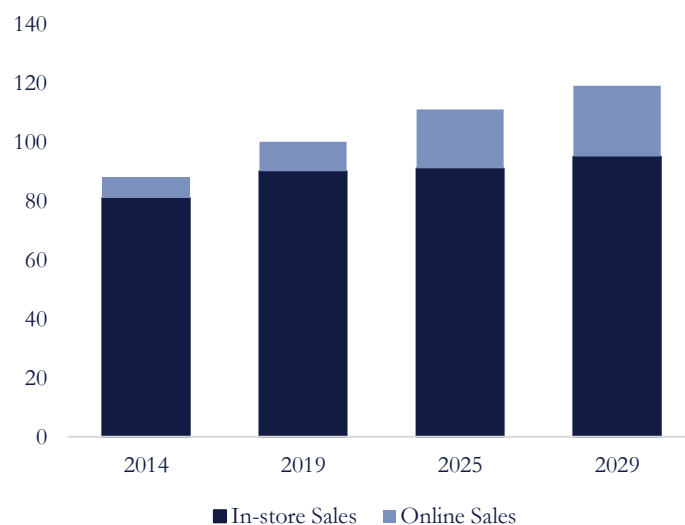
The European Retail market has experienced moderate demand growth throughout the year, which, in tandem with falling vacancy, has helped spur rent growth. Specifically, European stores have seen a 1% increase in visitors and a 2% increase in sales year over year, respectively. This increased traffic has translated into declining vacancy rates, which now stand at 5.6%, a level below both 2024 and pre-pandemic levels. Across the sector, these fundamentals have led to a slight year-over-year rent growth of 1.5%.

Amongst subsectors, Retail Parks have seen the strongest and most resilient performance, showing a substantial increase in both visitor numbers and rent growth. Retail parks are located directly outside cities and serve as outdoor centers, containing large stores that sell household goods. The success of this sector has sparked investor interest, with increased trade activity anticipated in the future. Other subsectors that have performed well are prime high-street retail and shopping centers with year-over-year rent growth of 3.4% and 2.8%, respectively. Looking forward, European retail leasing activity is expected to maintain the positive fundamentals it has shown throughout the year. Demand is expected to be driven towards prime assets over secondary assets due to tighter availability, stronger foot traffic, and longer leases from occupiers. Without any disruptive trade or macroeconomic events, these leasing patterns should remain, leaving prime Retail Parks and High-Street retail as the strongest performers.

Capital Markets

Following an uptick in transaction activity during 4Q2024, there was a 26% year-over-year increase in investment volume across European retail in 1Q2025. The €8.4B invested during the period was the highest volume in a quarter since 2022. Larger deal sizes were responsible for the increase, with the average deal size during 1Q2025 being 82% higher than in 2023. Institutional activity returning across retail capital markets has been largely responsible for the increased trade values. Importantly, a significant share of this volume has come in the Iberian Peninsula, where investors have followed record level tourism, limited square foot per capita, and strong performance across prime assets. Retail investment in Spain and Portugal increased 54% and 300% year-over-year in 1Q2025, respectively. Retail investment in Italy also had its strongest quarter since 2018, with total volume in 1Q2025 surpassing €500M. Similar to the Iberian Peninsula, the increase was related to growing tourism and strong performance across luxury assets. CBRE found that 60% of European retail buyers and 40% of European retail lenders expect to increase their activity across the sector going forward. Similar to other retail markets across the world, the European market faces potential risks with uncertainty around tariff and macroeconomic events. However, the market has been resilient up to this point, and strong performance across prime assets should protect investor demand.

European Retail Real Estate Sales Per Channel (2019 = 100%)



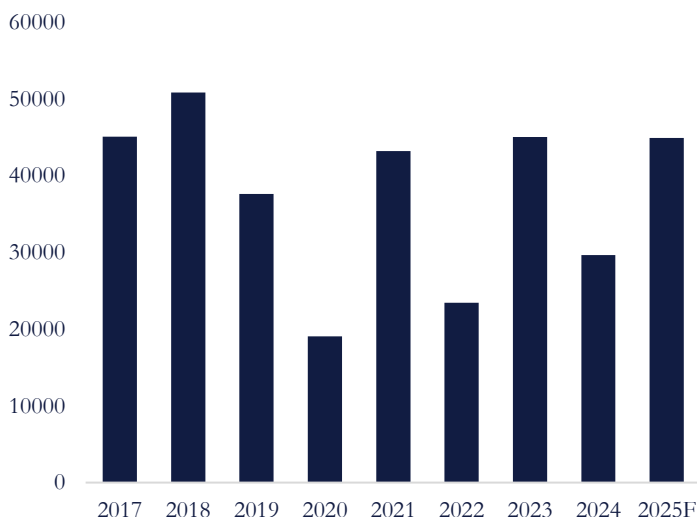
GLOBAL TRENDS: APAC

Market Outlook

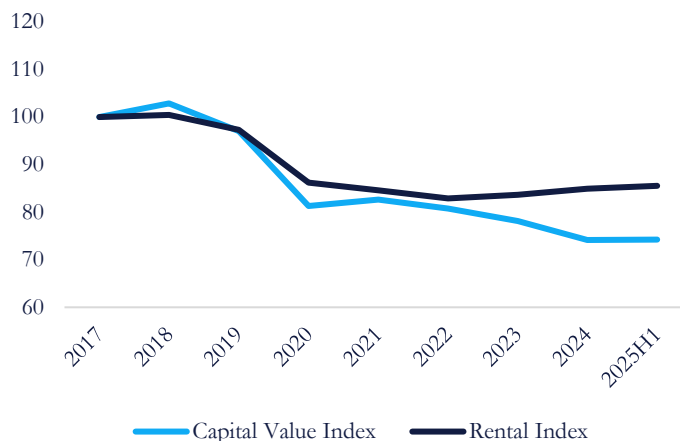
The Asia-Pacific retail real estate market is expected to move into a steady yet selective recovery in 2025. The region's economy is expected to grow by ~4.1%, and CBRE forecasts commercial real estate investment volumes to rise by roughly 5–10% year-over-year, supported by improving investor confidence. However, this recovery is not even across the region. Retail leasing demand continues to concentrate in prime malls and busy high-street locations, where foot traffic and brand visibility are most substantial. Meanwhile, secondary shopping centers are seeing slower leasing and higher incentive requirements to attract tenants.

Market performance varies widely. India and Vietnam are experiencing some of the strongest leasing momentum, driven by expanding domestic brands and new entrants from Mainland China. In contrast, Mainland China's major cities continue to adjust. Although activity is improving, prime retail rents in Tier-1 cities remain about 12–13% below their levels five years ago, as retailers remain cautious. In Singapore, prime retail rents continued to rise moderately in 2025, driven by stable tourism and robust food and beverage (F&B) demand. In Australia, retail investment activity picked up significantly. 131 retail assets traded in 2024, totaling approximately \$8.6 billion USD, a 36% increase from 2023, led by neighborhood and large-format centers serving growing suburban populations.

APAC Retail New Supply (Sq. Ft.)



APAC Retail Rental and Capital Value Index



Future Trends

Overall, the APAC retail real estate landscape points toward a steady yet uneven recovery. New supply remains relatively controlled across the region, typically fluctuating between 30,000–50,000 sq. ft. annually and projected to stay in that range into 2025, helping maintain healthy occupancy in prime clusters. At the same time, the rental and capital value index, which declined meaningfully from 2019 through 2023, shows early signs of stabilization, with the rental index beginning to edge upward into 2025 as demand strengthens in tourism and F&B-driven markets, even as capital values remain softer. Additionally, there is strong momentum concentrated in well-located, experience-driven malls and active high-street districts that consistently attract strong foot traffic and deeper consumer engagement. Secondary centers lacking differentiated offerings, strong catches, or modern layouts will continue to face slower leasing, elevated incentive packages, and mounting pricing pressure as tenants become more selective. Looking ahead, the assets best positioned to outperform will be those combining prime locations with curated tenant mixes, flexible store formats, and intentional destinations that give people compelling reasons to visit beyond traditional shopping. Landlords that successfully integrate experiential value, whether through events, digital integration, or upgraded amenities, will see stronger performance outcomes as the market continues to evolve.

GLOBAL TRENDS: LATAM

Market Overview

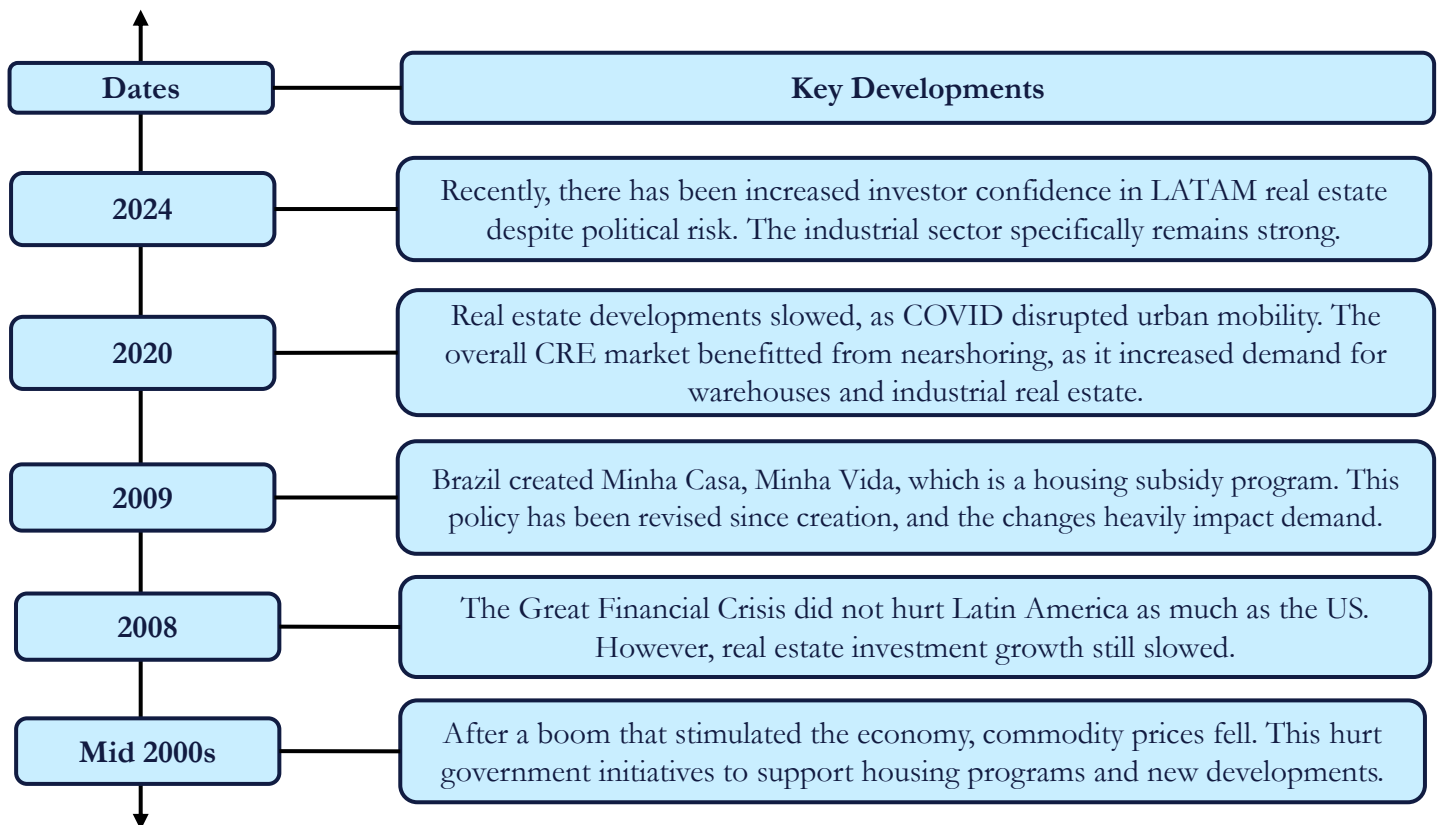
Latin America's retail real estate sector is entering a period of steady recovery and growth, facilitated by an increase in population and an overall expanding economy. The broader regional real estate market is expected to expand from roughly \$480 billion in 2024 to \$985 billion by 2033, reflecting an annual growth rate of 8.35%. Retail real estate is one of the strongest segments, supported by rising middle-class consumption and rapid urbanization. The regional retail market is forecast to grow from \$1.9 trillion in 2025 to \$3.2 trillion by 2033, at a rate of 6.71% per year. Grocery and essential goods remain exceptionally stable, with food retail sales increasing around 5% annually. This expansion positions anchor shopping centers to continue to drive consistent foot traffic.

Headwinds

Despite the positive fundamentals, several challenges continue to weigh on the sector. Informality still dominates much of the economy, with approximately 47% of non-agricultural employment remaining informal, which limits the reach of organized retail and constrains consumer credit access. Similarly, the rapid rise of e-commerce is both a growth driver for retail sales and a competitive threat to physical stores. As more consumers buy online, particularly in categories like electronics, fashion, and personal care, brick-and-mortar retailers face slower foot traffic. This digital shift, combined with broader macroeconomic instability, inflation, and currency volatility, creates uncertainty for investors.

Tailwinds

Continued urbanization and income growth are supporting the region's retail real estate outlook, which is driving higher retail consumption and stronger tenant demand. The region's organized retail sector is expanding rapidly as consumers increasingly favor modern distribution channels, such as supermarkets, hypermarkets, and convenience stores, over informal markets. This formalization directly benefits developers and investors focused on institutional-grade retail assets. Additionally, over 80% of the population now lives in cities, which will generate increased foot traffic. This new driver will be beneficial for many urban retail properties and further the progression of stabilized profitability.



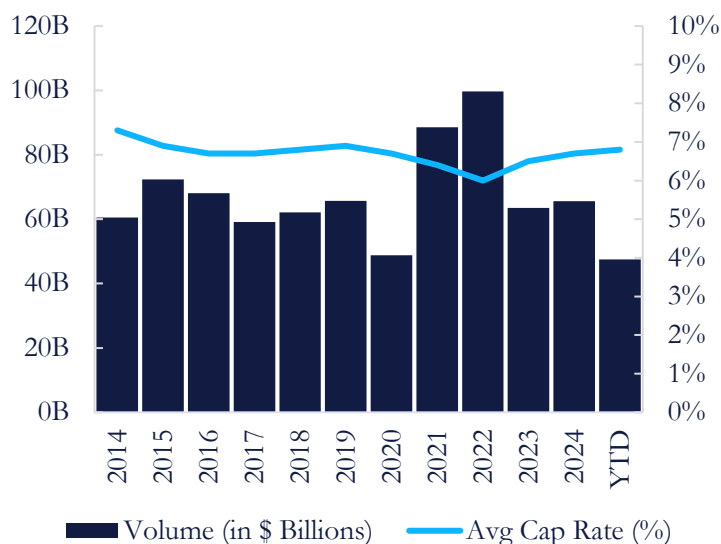


Retail Capital Markets



RETAIL INVESTMENT SALES

U.S. Retail Real Estate Sales



Investor Appetite

On a deal volume basis, private capital buyers have been dominating the Retail Capital Markets environment, accounting for 62% of total sales volume over the past 12 months. Their activity has largely stemmed from being practically the sole buyer type across single-tenant net-lease retail properties, which have taken up a large share of retail trades nationally. However, despite their activity, institutional investors are expected to further increase their presence.

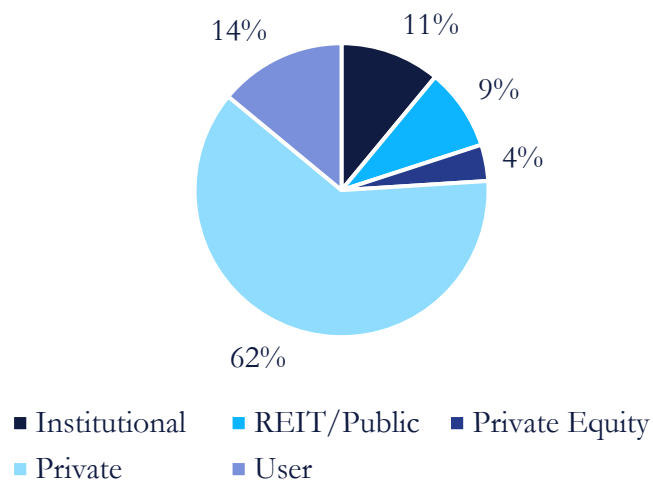
Many institutional investors have grown their focus on retail investments due to stable rent growth, higher yields, and increased lender activity. Retail's chronic undersupply and minimal deliveries have created an attractive and predictable long-term supply-demand backdrop across the sector that has piqued institutional interest. This predictable rent growth, in tandem with falling transaction values, has helped drive up entry yields and derisk opportunities for institutional investors. Lastly, after years of extreme focus on Multifamily and Industrial, lenders have sought to diversify into Retail, which has increased overall deal flow and the competitiveness of their terms. Opportunities in the retail sector show stable future cash flows through predictable rent growth, lower entry valuations, and increasingly flexible financing structures. These are three yield enhancers that have brought institutional investors back into the playing field this year and should sustain their activity in the sector going forward.

Investment Sales Activity

Throughout the first three quarters of 2025, retail investment sales totaled \$40B, representing a 38% and 51% increase year over year from 2024 and 2023, respectively. Additionally, this surpassed the long-term year-to-date average of \$33B by 20%. This surplus to recent historical trends was heavily reflected in 3Q2025, which posted \$17B in total transactions, the largest quarter since 2022. The drivers behind this rebound in activity have been a sector-wide repricing, which has narrowed bid-ask spreads and increased going-in yields. Retail's overall market cap rate has stabilized just below 7% over the last year. This stabilization represents a recalibration of market pricing, which has improved bid-ask spreads. The narrowing of bid-ask spreads across retail and raised going-in yields have increased investor interest and catalyzed the surge of retail transactions throughout 2025.

Across retail's subsectors, High Street retail has specifically seen the greatest demand and activity increase. Specifically, investment into High Street retail has seen an 82% increase year to date in 2025 and has reached its highest level since 2015. There have been several market-leading trades in this sector, including ECA Limited's \$400M disposition of 338 North Rodeo Drive in Beverly Hills, and Ikea's \$213M acquisition of 529 Broadway in New York City.

Sales Volume By Buyer Type Past 12 Months



RETAIL FINANCINGS

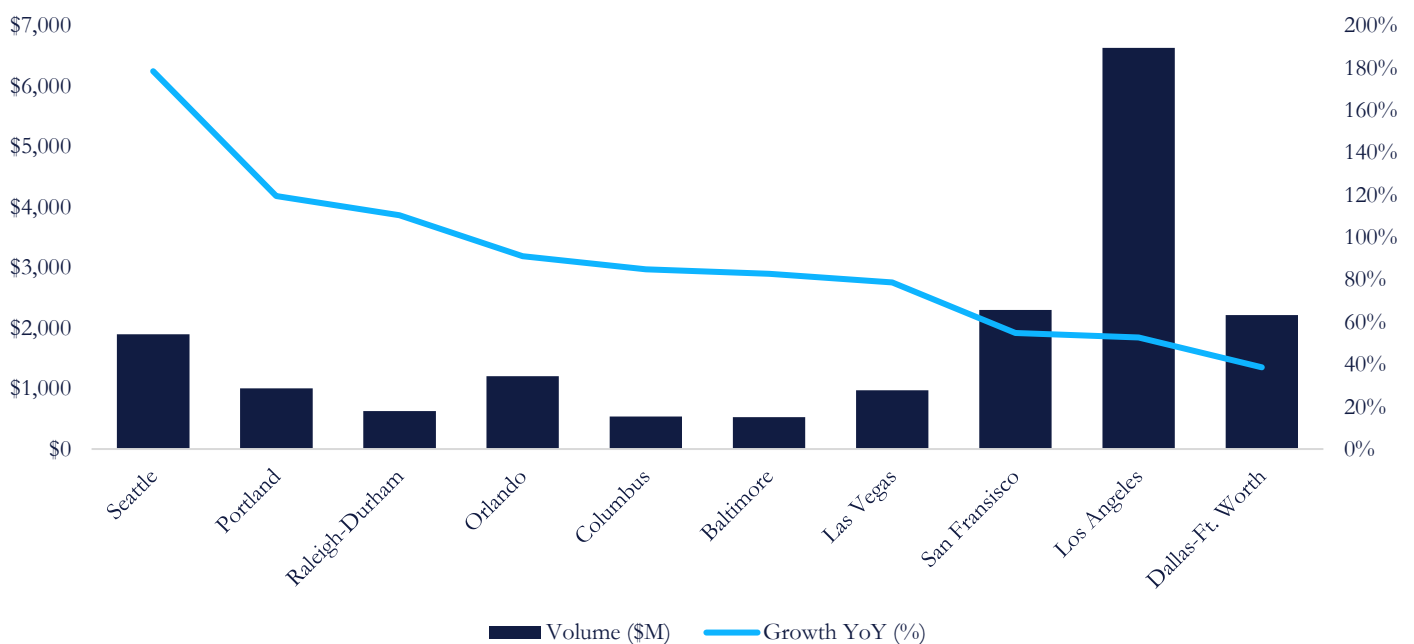
Products

The retail financing market has shown strong momentum through 2024 and into 2025, driven by rising transaction volumes and greater refinancing activity. As retail property sales accelerated, loan payoffs increased, prompting lenders to originate new loans and inject additional liquidity into the market. Total U.S. commercial real estate borrowing and lending reached about \$498 billion in 2024, a 16% increase from the prior year. The trend continued into 2025, with overall commercial and multifamily originations up 36% year-over-year and 18% quarter-over-quarter, while retail properties specifically saw loan origination volume up 100% compared to a year earlier. This rebound underscores improving investor confidence in the retail sector, especially in stabilized shopping centers and open-air formats. Refinancing has also become the dominant product category as borrowers take advantage of stabilizing rates and renewed lender confidence. Over the trailing 12 months, U.S. retail refinancing volume reached approximately \$45.7 billion, approaching the pre-pandemic high of \$47.2 billion in 2019. Overall, these trends signal a decisive return of liquidity to the retail debt market, with lenders competing more actively for high-quality assets and positioning retail real estate for sustained financing growth through 2025.

Lender Activity

The retail debt market has become increasingly competitive across lender groups, with debt funds, life companies, banks, and CMBS lenders each playing distinct roles. Over the past 12–18 months, debt funds have been the most active lenders to the retail sector, stepping in as banks pulled back. Their ability to offer higher leverage, flexible structures, and rapid execution has made them the preferred capital source for value-add, lease-up, and open-air retail centers, where transitional business plans require more tailored financing. Banks remain selective, but the largest national institutions have cautiously re-entered the market, focusing on low-leverage, high DSCR (Debt Service Coverage Ratio) retail loans for strong sponsors. Regulatory pressure continues to limit regional banks' activity. Meanwhile, CMBS issuance has increased, driven by portfolio and power-center transactions, providing an alternative for borrowers seeking higher proceeds or non-recourse execution on larger assets. Overall, the current lender landscape is defined by strong bank participation, reduced life-company lending, and generally improving liquidity. Retail assets with stable cash flow, especially necessity-driven centers, are attracting the widest lender interest, while more complex retail strategies remain dependent on flexible, non-bank lenders.

Retail Investment Volume Growth by Metro



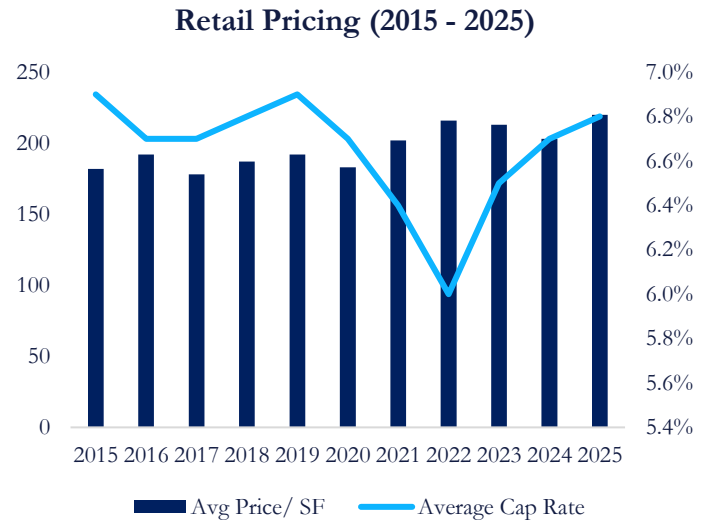
RETAIL SUBSECTOR VALUATIONS

Overview

Cap rate expansion has defined the sector over the last few years and has largely stabilized, reflecting a halt to rising values that have limited transaction activity. 58% of CBRE analysts believe that retail cap rates are set to decrease over the second half of 2025, with only 2% forecasting increases. The cap rate expansion of 2022-2023 has come to an end, and a period of stabilization is now underway.

Forecast

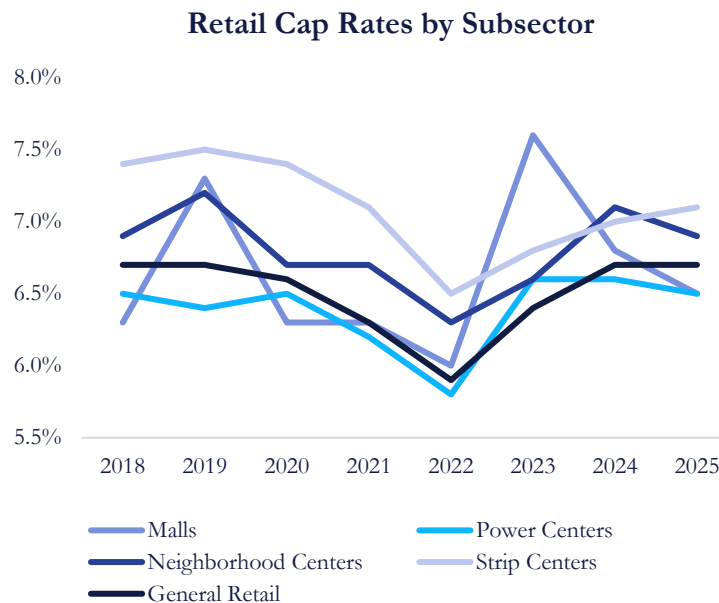
Larger power centers are forecasted to see some cap rate compression in the coming quarters, as demand is outpacing supply, and there is a lack of new deliveries, particularly in Sunbelt markets that struggled from extreme oversupply over the past few years. STNL properties and malls share some characteristics, and are both forecasted to see a cap rate compression in class A properties, while class B and C ones may continue to struggle. Investment-grade, high-quality tenants in STNL properties with long-term leases in primary markets may see cap rates compress to below 4.7% in the coming years. In contrast, lower-quality tenants should expect cap rates to remain above 7%. Elevated cap rates are expected to continue to attract specific buyers with experience leasing up retail properties, who are looking to buy properties struggling with vacancies and macroeconomic risks for pennies on the dollar at cap rates well over 7%.



Subsector Analysis

This cap rate stabilization period has occurred despite elevated single-tenant net lease cap rates (STNL), which are being driven by an asset mix rather than a macro-level repricing. STNL properties have seen average cap rates of well over 7%, primarily driven by Dollar General’s massive expansion and Walgreens’ restructuring. Higher-quality STNL properties, however, have continued to see cap rates below 5%, particularly in primary markets.

Across multi-tenant sectors of retail real estate, neighborhood centers are experiencing cap rates of approximately 6.9%, which has been supported by the continued strength of grocery-anchored or daily-needs-anchored retail. They are also seeing vacancy rates below 6%. Strip centers, however, are priced at 7.1%. This is reflective of their exposure to mom-and-pop tenants and shorter lease terms, which get hit harder during uncertain economies/ tariff threats. Power Centers and more lifestyle-oriented retail properties have done well, and are priced at 6.5%. They have continued to attract institutional capital and have benefited from the rise in omnichannel models/ experimental offerings. Mall valuations have been mixed. As a whole, the sector is pricing at a 6.5% cap rate; this is due to Class A malls outperforming, while Class B and C ones are struggling greatly due to the decline in mall popularity, especially when lacking the experiential aspects that their Class A counterparts have.



ACQUISITION CASE STUDY

Brickell City Center

Buyer	Seller	Date	Price	\$/SF	Cap Rate
Simon Property Group	Swire Properties	June 27th, 2025	\$512.6 M	\$1,367/SF	9.47%

Overview

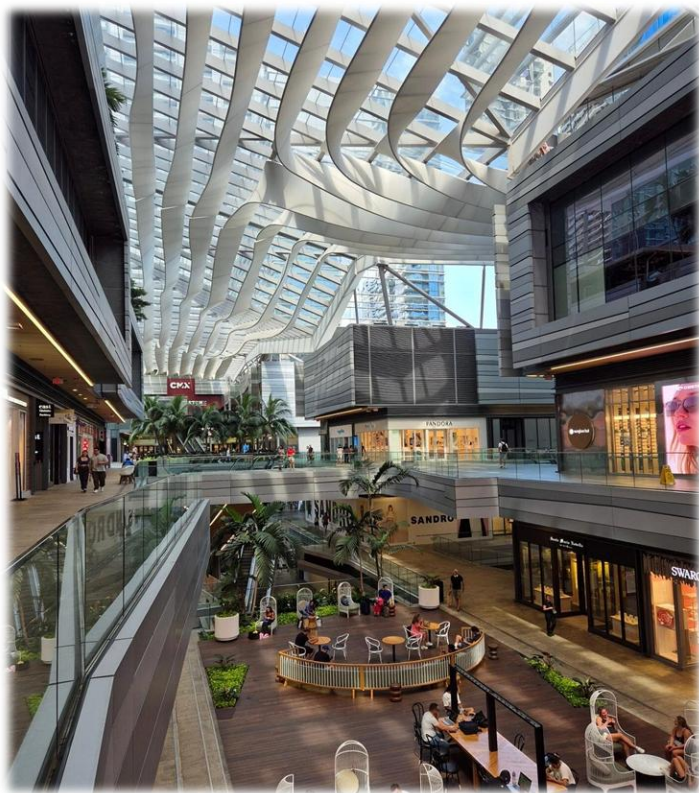
Brickell City Center is a mixed-use development in Brickell, Miami. Earlier this year, the retail portion of the property, along with its associated parking, was sold by Swire Properties to Simon Property Group for \$512M (\$1,367/ sf). Simon already owned part of the retail development, as they purchased a 25% stake back in 2015; they now own the entire asset. Brickell City Center is about 500M sf, including a 500k sf shopping center anchored by Saks Fifth Avenue and comprising 90+ stores and experiential/entertainment venues. It takes up three full blocks in the heart of Miami's CBD and one of the hottest real estate markets in the country, at the intersection of Brickell Ave/US Route 1 and Route 41, and blocks from I-95. This is also one of the only stops on Miami's metro system, the Metromover.

Capital Market Trends

This sale symbolizes many broader retail real estate trends. For example, while many Class B and C malls have struggled, and traditional brick-and-mortar stores have declined since the rise of e-commerce, experiential, Class A, destination properties have thrived. As one of the major tourist attractions in downtown Miami, this property continues to attract significant capital, even amid the broader view that malls are on the decline. This symbolizes confidence in Brickell as well, as there had been some concerns that it was not a sustainable downtown area due to its poor infrastructure and heavy traffic. Investors are clearly valuing experience-driven destinations higher than vanilla strip centers, and investors still believe that Miami is growing/ properties are appreciating, despite negative net absorption last quarter.

Buyer and Seller Strategies

The reason for this sale, from Swire's perspective, was to recycle the capital from the sale and invest it in their US unit's new major construction project, the Residences at Mandarin Oriental (also in Miami). From SPG's perspective, they likely believed they could capitalize on having complete control of the property. They often purchase "center-of-gravity" properties, and this one fits their model perfectly. They will now control the lease-up process and leverage their relationships with luxury tenant retailers such as LVMH and Richemont. This also aligns with SPG's strategy over the past five years of tilting its portfolio toward high-tourism, affluent, global "trophy-properties." Being a \$500M+ deal, this purchase also aligns with SPG's recent strategy of disposing of older, secondary/ JV retail properties and underperforming shopping malls. At the same time, they have been purchasing more mixed-use developments that push the boundaries of what retail once was.



ACQUISITION CASE STUDY

529 Broadway

Buyer	Seller	Date	Price	\$/SF	Cap Rate
Ikea	Wharton Properties	September 26th, 2025	\$213 M	\$4,019/SF	N/A

Overview

529 Broadway is a six-story, 58,000-square-foot commercial building located at the corner of Broadway and Spring Street in the heart of SoHo, one of Manhattan's highest-performing retail corridors. Designed by BKSK Architects, the building blends a modern glass façade with terra-cotta elements that reference the neighborhood's historic cast-iron architecture. It previously served as Nike's flagship store, occupying the prime retail space on the first floor. The primary retail tenant at 529 Broadway is Nike, but, in the most recent transaction, IKEA's parent company, Ingka Group, purchased the property for \$213 million, acquiring it from a Jeff Sutton-led ownership group that had bought the building in 2013 for about \$147 million. IKEA plans to convert roughly 25,000 square feet on the first and second floors into one of its small-format urban retail stores, while the upper floors will be reconfigured as high-end office space. At the sale price, the deal values the building at roughly \$4,019 per square foot, reflecting the premium attached to SoHo retail frontage. Overall, the acquisition fits Ikea's strategy of owning flagship-caliber urban real estate in global cities, while also giving the buyer long-term control and potential upside through mixed-use repositioning.



Capital Market Trends

The 529 Broadway transaction reflects the broader momentum that has been building across the retail capital markets over the past year. Investor demand has shifted decisively toward high-quality, urban retail assets with strong foot traffic, stable tenancy, and long-term relevance, conditions that SoHo provides like no other. As capital has flowed back into the sector, buyers have become increasingly willing to pay premium pricing for well-located, experience-driven retail properties. The sale of 529 Broadway at over \$200 million demonstrates how competitive the bidding environment has become for prime, trophy-level assets. Stronger liquidity, renewed lender confidence, and tighter spreads have all contributed to this dynamic, allowing buyers like IKEA's real estate investment arm to pursue flagship-caliber properties with confidence. Ultimately, the deal serves as a clear example of how improving credit conditions, rebounding retail fundamentals, and a flight-to-quality among investors are shaping real-world transaction outcomes in top-tier markets.

Impact on SoHo

The 529 Broadway acquisition is likely to have a positive effect on the broader SoHo retail corridor. A major global brand like IKEA committing more than \$200 million to a flagship-format store signals strong confidence in SoHo's long-term retail fundamentals, even with shifting consumer behavior and e-commerce pressure. This kind of anchor-quality investment reinforces the neighborhood's status as a top-tier destination for both tourists and high-spending locals, supporting foot traffic and stabilizing nearby retail rents. The repositioning of upper floors into high-end office space may also attract fashion and tech tenants, industries that historically drive daytime activity in the area. Overall, the deal demonstrates continued investor interest in retail real estate in SoHo and is likely to solidify the corridor's resilience and desirability further.

ACQUISITION CASE STUDY

338 N Rodeo Drive					
Buyer	Seller	Date	Price	\$/SF	Cap Rate
N/A	ECA Capital Limited	August 9, 2025	\$400M+	\$14,286/SF	N/A

Overview

338 N Rodeo Drive is a 28,000 square-foot commercial space located on Rodeo Drive in Beverly Hills that was recently sold for \$400+ million. It is currently leased to and occupied by Tom Ford, Moncler, and Balenciaga. ECA, lead by Ronan McNamee, was the seller. They previously purchased the property for \$81.5M in 2007, less than \$2,900 per square foot. ECA recently refinanced the property at \$160M in 2019. The broker in this transaction was Jay Luchs from Newmark, and Crown Equity’s Michael Shabani oversaw the transaction. The identity of the buyer is currently remains undisclosed.

Redevelopment Opportunities

The main driver of 338 N Rodeo Drive’s expensive purchase price is that it is built on a double-wide lot, allowing for multiple redevelopment opportunities. A double-wide lot is one that is twice as wide as a standard lot in the area. This increases the value significantly because visibility and storefront presence is incredibly important for this retail area. A wider lot allows for increased exposure, and therefore, increased foot traffic. A higher purchase price for 338 N Rodeo Drive is justified because tenants are charged an increase rent for the extra visibility and frontage. Additionally, North Rodeo Drive is predominantly luxury stores, and luxury stores typically seek opportunities for wide displays, large entrances, and flagship layouts. This can be uniquely accommodated by 338 N Rodeo Drive’s layout. There is also opportunity to subdivide the space into two premium stores, allowing for increased rental income. The flexibility to redesign the space is rare for Rodeo Drive, further factoring into the increased value. Beyond redevelopment opportunities, the high barriers to entry and tenant quality make 338 N Rodeo Drive significantly more valuable than its comparables.

Beverly Hills Acquisition Trends

The sale of 338 N Rodeo Drive has set a single-property record for the street and is the second largest sale in Beverly Hills, following Nicholas and Christian Candy’s \$500M purchase of what was once Robinson’s May department store in 2007. There have recently been no additional sales on North Rodeo Drive and very limited acquisition activity on neighboring streets. For example, 354 N Beverly Dr was recently part of a 2-property portfolio sold by DSW Group to One Cole Group for ~\$39M in 2024; this further illustrates the high premium 338 N Rodeo Drive received in relation to other recent retail property sales in Beverly Hills. Other historical large sales include LVMH’s purchase of 468 North Rodeo Drive, a 22,300SF, 2-story double lot for \$245M. This higher purchase price can largely be attributed to the property residing on a double lot. Efrem Harkham sold 360 North Rodeo Drive, a boutique hotel and 3 retail stores spanning 43,000SF, for \$200M. Crown Equity’s Michael Shabani purchased 2 storefronts, 457-459 N Rodeo Dr, for \$112M. Their higher value is driven more by their large size and tenant stability. Overall, there have not been any recent sales that have amounted to nearly the \$400M+ 338 N Rodeo Drive was purchased at.



ACQUISITION CASE STUDY

815 Boylston St.

Buyer	Seller	Date	Price	\$/SF	Cap Rate
Apple Inc.	Tribeca Holdings Ltd.	January 22nd, 2025	\$88M	\$5,496/SF	N/A

Overview

815 Boylston St. is a 3-story, 16,011 square foot storefront retail property located directly across from the Prudential Center in the heart of Back Bay. The property was constructed in 2008 and has been occupied by Apple throughout its existence. During their tenancy, this has been Apple's Flagship Boston store and was their largest store in the United States when it originally opened. In December 2012, London-based Tribeca Holdings Ltd. purchased the property for \$27.5M at just a 3.10% cap rate. Almost exactly 12 years after their purchase, Tribeca sold the property to Apple in an Owner-User transaction for \$88M at \$5,496/SF. Apple didn't take out a loan for the purchase, suggesting they used available internal capital to complete the transaction. This fits into an increasingly prevalent trend in large markets across the United States, where credit tenants are purchasing the space that they occupy.

Owner-Occupied Acquisitions

Luxury fashion brands, leading tech companies, and large national retailers have been increasingly purchasing their flagship locations in major markets across the U.S. Experiential retail's increased relevance post-COVID has pushed brands to require more design control over their locations to curate customer experience. Specifically, after acquisitions, owner-occupiers have conducted full façade changes and multi-floor alterations that are tailored to experiential design and typically prohibited under traditional leases. As rent growth continues for prime retail properties, many of these companies view this acquisition strategy as a way to hedge against future rent escalations. Given the strong balance sheets and cash reserves held by these industry-leading firms, they're often able to acquire these properties without using debt, effectively converting their long-term rent obligations into ownership of customized prime retail.

Premium Pricing

On a price per square foot basis, Apple's acquisition was one of the most expensive retail trades across Massachusetts in recent years. At \$5,496/SF, it nearly doubled Ralph Lauren's \$2,917/SF owner-occupied acquisition of the 12,960 square foot storefront at 93 Newbury St. from this July. Despite the almost identical size, timing, and strategy of these transactions, Apple's purchase demanded a market-leading premium due to the truly one-of-a-kind foot traffic their location offers. Sitting directly across the street from the Prudential Center, the site is at potentially the highest foot traffic location in Massachusetts. Further, Apple has already customized the store to meet its experiential design standards, strongly increasing the value of long-term control and ownership for them. With \$88 Million representing far less than 0.1% of their \$55 Billion in available cash, the benefits of permanent control of the site largely outweighed the minimal cost for them.



ACQUISITION CASE STUDY

1845-1865 Palm Beach Lakes Blvd

Buyer	Seller	Date	Price	\$/SF	Cap Rate
Invesco	Starwood	May 22nd, 2025	\$133.3M	\$439/SF	3.81%

Overview

Invesco Ltd. has acquired an outlet marketplace in West Palm Beach from Starwood Capital Operations. This large 303,776 SF shopping center boasts over 20 stores with tenants including DSW Shoe Warehouse, Nordstrom Rack, Old Navy, PetSmart, Pier 1 Imports, T.J. Maxx, Ulta Beauty, and Homegoods. A Whole Foods Market also acts as the anchor tenant, drawing customers to the outlet and complimenting the other shopping options. Invesco Ltd. also financed this transaction by assuming a \$79MM loan from Wilmington Trust via a commercial mortgage-backed securities (CMBS) trust, representing 59.3% of the total purchase cost. This is broadly in line with expectations for 55-65% of the purchase cost for a retail property to be financed with debt. It is notable that Invesco didn't choose to refinance with their own mortgage and instead absorb the current loan. Invesco likely doesn't want to push leverage too far in this case, therefore went with a middle-ground LTV.

Selling Without Gain

However, Starwood purchased this property in 2022 for \$130 million, suggesting Starwood exited without any significant gain in the asset's market value, at least based on the available transaction details. Thus, return on investment for Starwood likely came primarily from debt paydown and tenant rent rather than any meaningful appreciation. This is unexpected since West Palm Beach asset prices have generally risen since Starwood acquired the property in 2022, due to tourist demand, steady population inflows, and consistent rent gains across the broader retail market. Additionally, there haven't been many comparable deals as commercial-deal flow in its immediate area has remained modest, partly because overall commercial sales volume in Palm Beach County has dropped noticeably over the past year.

Strong Fundamentals

Since West Palm Beach posted a modestly low vacancy rate of about 4.0% and the anchor tenant is in good financial health being a subsidiary of Amazon, we believe this is a strong investment with quality fundamentals behind the thesis and a profile that aligns well with current market preferences. Notably, there is a lower-than-expected cap rate for this investment at 3.81%, which further highlights the perceived stability of the asset. Therefore, Invesco Ltd. will be relying on tailwinds to make a large upside on this investment such as lowering financing costs and rent growth continuing at a healthy pace. Ultimately, this transaction signals that buyers are willing to pay top dollar for stable retail assets in well-located markets. Additionally, purchasing this property for \$400+/SF is high, but in line with the market due to the strong fundamentals of tight vacancy, limited new build, and quality tenants that this property has, all of which reinforce the long-term attractiveness of the asset.



RETAIL REIT M&A

Date	Target	Acquirer	Deal Size (\$M)	Property Type
Q1 2024	Spirit Realty Capital	Realty Income	9,300	Net-lease (retail/ industrial)
Q1 2024	RPT Realty	Kimco Realty	2,000	Open-air/ shopping centers
Q3 2023	Urstadt Biddle Properties	Regency Centers	1,400	Open-air/ shopping centers
Q1 2023	STORE Capital	GIC & Oak Street (Blue Owl)	15,000	Net-lease
Q4 2021	Retail Properties of America (RPAI)	Kite Realty Group	7,500	Open-air/ shopping centers
Q4 2021	VREIT	Realty Income	50,000	Net-lease
Q3 2021	Weingarten Realty Investors	Kimco Realty	5,900	Open-air/ shopping centers
Q4 2020	Taubman Centers	Simon Property Group	3,400	Malls

Consolidation Drivers

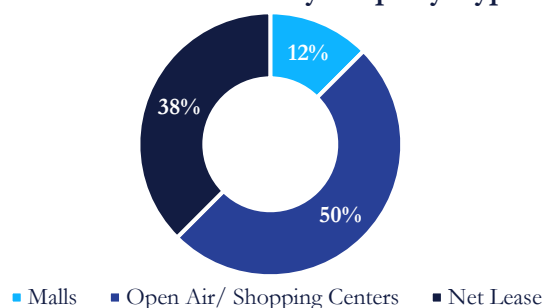
Since 2020, REITs have driven further consolidation through 8 M&A transactions. Through this M&A, REITs are trying to scale their portfolios and increase diversification with strong real assets. For example, Realty Income is a triple-net-lease retail provider for tenants such as Walgreens, 7/11, and Dollar General. In January 2024, they acquired Spirit Realty Capital for \$9.3 billion to build out Realty Income's retail and industrial offering. This was immediately accretive to Realty Income and will increase their FFO per share.

Meanwhile, Kimco Realty acquired RPT Realty for \$2.0 billion, adding 56 open-air shopping centers to their portfolio. Kimco Realty is relying on rent-growth and leveraging their large balance sheet to redevelop the acquired portfolio to make a return. Additionally, grocery store anchored shopping centers, such as the one acquired by Invesco Ltd. Discussed previously, are well positioned in the current market as they are seen as stable tenants that draw customers to the center. Thus, Regency Centers has focused on that front and acquired Urstadt Biddle Properties in mid-2023 for \$1.4 billion. Post acquisition, Regency will now have ~480 properties and a strong grocery presence.

M&A Outlook Trajectory

Market sentiment suggests that there may be more consolidation through 2026, especially considering industry-wide dry powder levels and the tightening of credit spreads. Retail REITs may experience higher levels of M&A activity, as REITs may seek to acquire other REITs that have adapted well to e-commerce and will position them to continue to expand into experiential retail. In 2021, there was the highest amount of retail REIT M&A, mainly due to the recovery of the retail industry, large amounts of capital, and a strong desire to scale via consolidation. Although there is an increase in dry powder currently, there are stronger headwinds that could limit M&A transactions in the near term.

M&A Transactions by Property Type



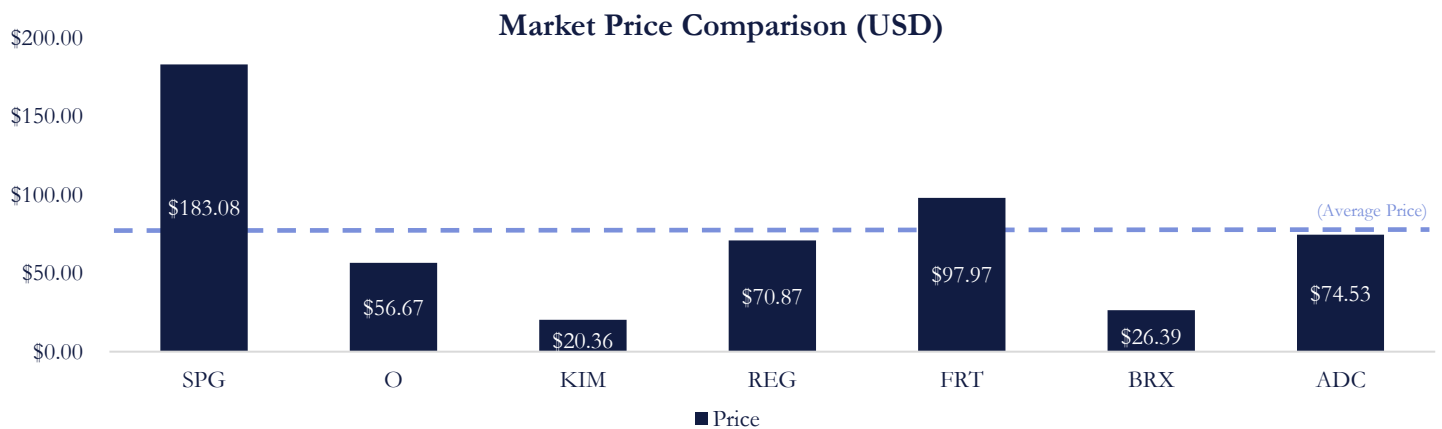


Financial Analysis



PEER UNIVERSE

Logo	Company	Ticker	Description	Price (USD)
	Simon Property Group	SPG	Simon Property Group (NYS: SPG) is a REIT that specializes in luxury retail properties, notably Woodbury Common Premium Outlets in Central Valley, NY and Sawgrass Mills in Sunrise, FL. They are headquartered in Indianapolis, IN and own 250+ global properties, with \$9B invested in development projects.	\$183.08
	Realty Income	O	Realty Income (NYS:O) is headquartered in San Diego, CA, with most of their portfolio being in the Midwest (20.9%), Southeast (18.1%), and Southwest (18.1%). Their portfolio is also 79.9% retail properties, as well as 98% single tenant and triple net lease.	\$56.67
	Kimco Realty Corporation	KIM	Kimco Realty (NYS: KIM) is a REIT that owns 566 high-quality shopping centers and mixed-use assets. Specifically, they are the leading owner and operator of high-quality, open-air, grocery-anchored shopping centers and mixed-use properties. Their portfolio consists of anchor tenants (53%) and small shops (47%).	\$20.36
	Regency Centers Corporation	REG	Regency Centers (NAS: REG) is headquartered in Jacksonville, FL and owns 483 shopping centers totaling 61+ MSF of retail space nationwide. They have a deep pipeline of redevelopment opportunities, with more than \$500M of projects in process today. 80% of their properties are anchored by top grocers and their portfolio mainly consists of high-quality open-air shopping centers.	\$70.87
	Federal Realty Investment Trust	FRT	Federal Realty Investment Trust (NYS: FRT) owns 103 open-air properties, hosting ~3,600 commercial tenants and spanning 28MSF of commercial space. Their portfolio consists of 34% mixed-use centers, 32% grocery-anchored community centers, 16% grocery-anchored neighborhood centers, 10% power centers, and 8% other.	\$97.97
	Brixmor Property Group	BRX	Brixmor (NYS: BRX) is a REIT headquartered in Conshohocken, PA. It owns 354 retail centers, with 75% being community/neighborhood centers, 14% grocery-anchored regional centers, 9% power centers, and 2% other. Their average shopping center size is 177KSF, totaling to 63MSF of prime retail space. In Q2 2025, their properties were 94.2% occupied.	\$26.39
	Agree Realty	ADC	Agree Realty Corporation (NYS: ADC) is headquartered in Farmington Hills, MI. Their portfolio consists of 2,603 properties, totaling to 54MSF. They have had an average annual total return of 11/8% since their IPO in 1994. Their emphasis on omnichannel strategy positions them well for growth.	\$74.53



RETAIL REIT OVERVIEW

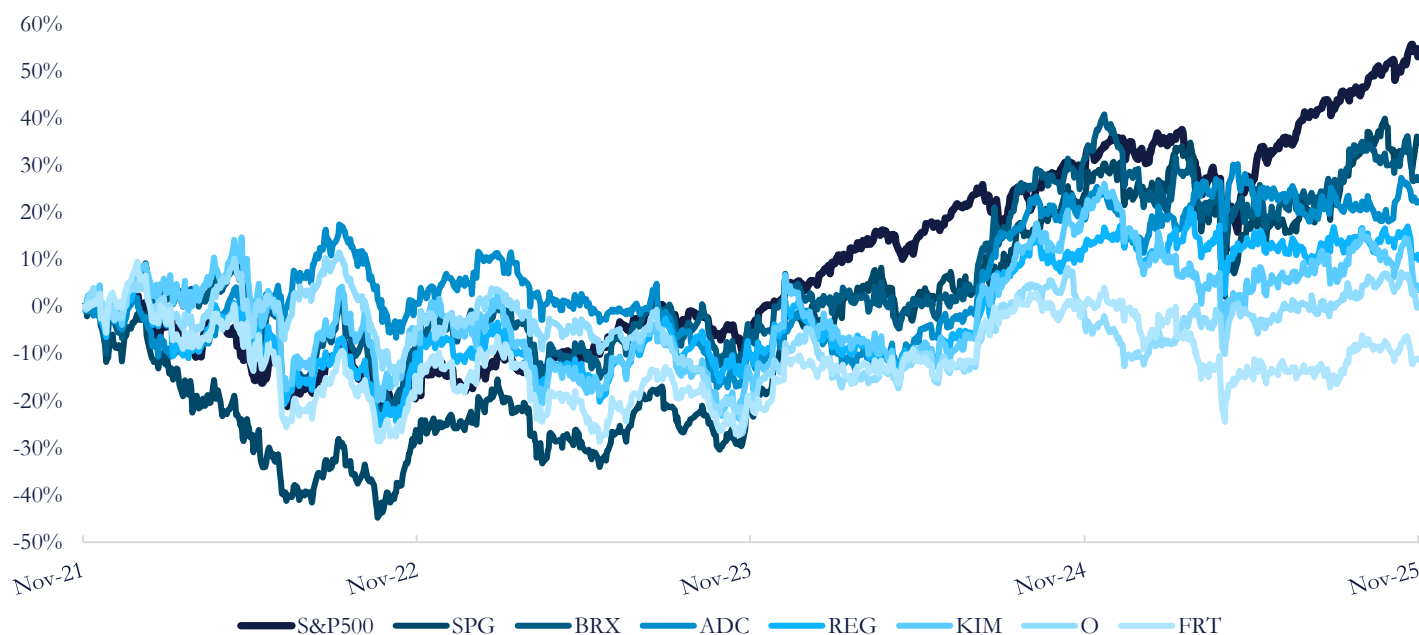
\$ in millions of USD (As of 11/2/2025)

Company	Ticker	Mkt. Cap	Enterprise Value	Share Price	LTM		EV /		EPS	P/E
					Revenue	EBITDA	Revenue	EBITDA		
Simon Property Group	SPG	\$57,384	\$82,750	\$175.76	\$6,034	\$4,563	13.7x	18.1x	6.75	26.0x
Realty Income	O	53,011	81,296	57.98	5,462	4,375	14.9x	18.6x	1.44	40.4x
Kimco Realty Corporation	KIM	14,038	22,976	20.66	2,123	1,353	10.8x	17.0x	.75	27.4x
Regency Centers Corporation	REG	12,907	18,348	68.95	1,522	965	12.1x	19.0x	2.22	31.0x
Federal Realty Investment Trust	FRT	8,391	11,915	73.01	689	560	17.3x	21.3x	1.77	41.3x
Brixmor Property Group Inc	BRX	8,298	13,407	96.19	1,254	810	10.7x	16.5x	3.04	31.7x
Agree Realty	ADC	8,008	13,218	26.16	1,355	879	9.8x	15.0x	.87	30.2x
Lower		8,298	13,218	26.16	1,254	810	10.7x	16.5x	0.87	27.4x
Median		12,907	18,348	68.95	1,522	965	12.1x	18.1x	1.77	31.0x
Mean		23,148	34,844	74.10	2,634	1,929	12.7x	17.9x	2.40	32.6x
Upper		53,011	81,296	96.19	5,462	4,375	14.9x	19.0x	3.04	40.4x

The above table provides financial metrics on our peer universe of retail REITs. These REITs own premier shopping, dining, entertainment, and mixed-use destinations across the United States. Showing a similarity in investor sentiment on the valuation for the peer universe, the REITs trade with an enterprise value to EBITDA ratio between 15.0x and 21.3x. Simon Property Group and Realty Income dominate market share with capitalizations of over \$50 billion each while Federal Realty Investment Trust, Brixmor Property Group, and Agree Realty all have a capitalization of approximately \$8 billion.

Due to the recent mega cap tech rally and real estate challenges in a higher interest rate environment, all retail REITs have underperformed the S&P500 index on a total return basis with dividends reinvested since November 2021. However, Simon Property Group and Brixmor Property Group Inc have performed strongly with both returning approximately 30% since the high valuations in November 2021. Additionally, retail REITs appear to move similarly with day-to-day market-wide price changes and begin to diverge starting in November 2023.

S&P500 vs. REITs Total Return Comparison



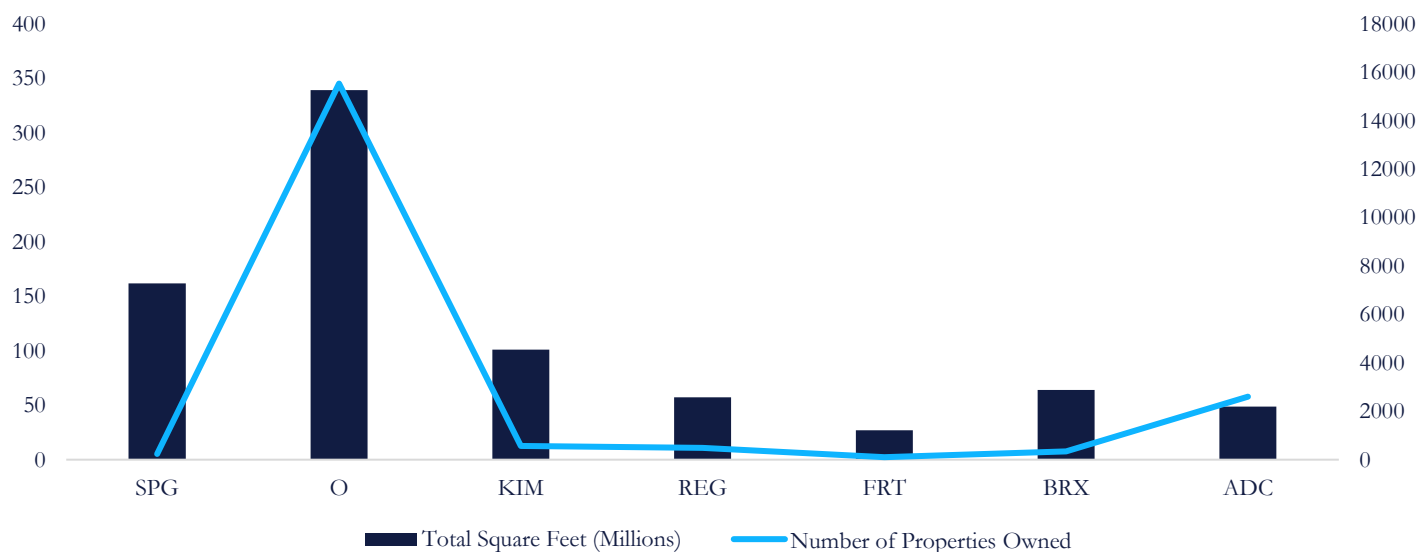
COMPARABLE: BASIC

\$ in millions of USD (As of 11/2/2025)

Company	Occupancy Rate (Q3)	Number of Properties Owned	Total Square Feet (Millions)	Total Assets	Dividend Yield	Dividend Payout Ratio
SPG	96.40%	235	162.00	\$33,602.19	4.98%	129.74%
O	98.70%	15,542	339.40	\$71,278.98	5.56%	257.89%
KIM	95.60%	564	101.10	\$19,880.04	5.11%	135.57%
REG	96.00%	485	57.30	\$13,058.98	4.38%	124.41%
FRT	94.00%	103	27.00	\$8,862.23	4.72%	113.90%
BRX	94.40%	341	64.00	\$9,049.25	4.70%	119.94%
Lower	94.40%	235	48.80	\$9,484.03	4.38%	119.94%
Median	96.00%	485	64.00	\$9,049.25	4.72%	129.74%
Mean	96.40%	2,839	114.23	\$13,058.98	4.82%	150.54%
Upper	98.70%	2,603	162.00	\$23,602.24	5.11%	172.35%

The operating comparisons highlight a sector defined by stable tenant demand, with occupancy levels largely clustered between 94% and 99%, but the peer set differs in how that stability is achieved. Realty Income maintains high occupancy through broad diversification, owning over 15,000 properties, while Simon Property Group reaches similar performance with far fewer assets, supported by the quality and scale of its malls and outlet centers, reflecting two distinct strategies: stability through tenant and geographic dispersion versus stability through asset quality and brand draw. These strategic differences are also reflected in portfolio scale and asset composition. Realty Income stands out with a highly diversified, net-lease platform spanning over 15,000 properties, while SPG's footprint is large in square footage but concentrated in high-quality malls and outlet centers. In contrast, Kimco, Regency, Federal Realty, and Brixmor primarily focus on open-air and grocery-anchored shopping centers, which offer more recurring, needs-based tenant demand and generally lower volatility compared to destination retail formats. Dividend yields across the group cluster in the mid-4% to mid-5% range, reinforcing the income-oriented profile of the sector, but payout ratios vary, reflecting different approaches to reinvestment, balance sheet flexibility, and growth. Overall, the peer group represents a stable, yield-driven segment, where differentiation primarily stems from portfolio scale, asset positioning, and capital allocation strategy rather than occupancy performance.

Number of Properties Owned to Total Square Feet



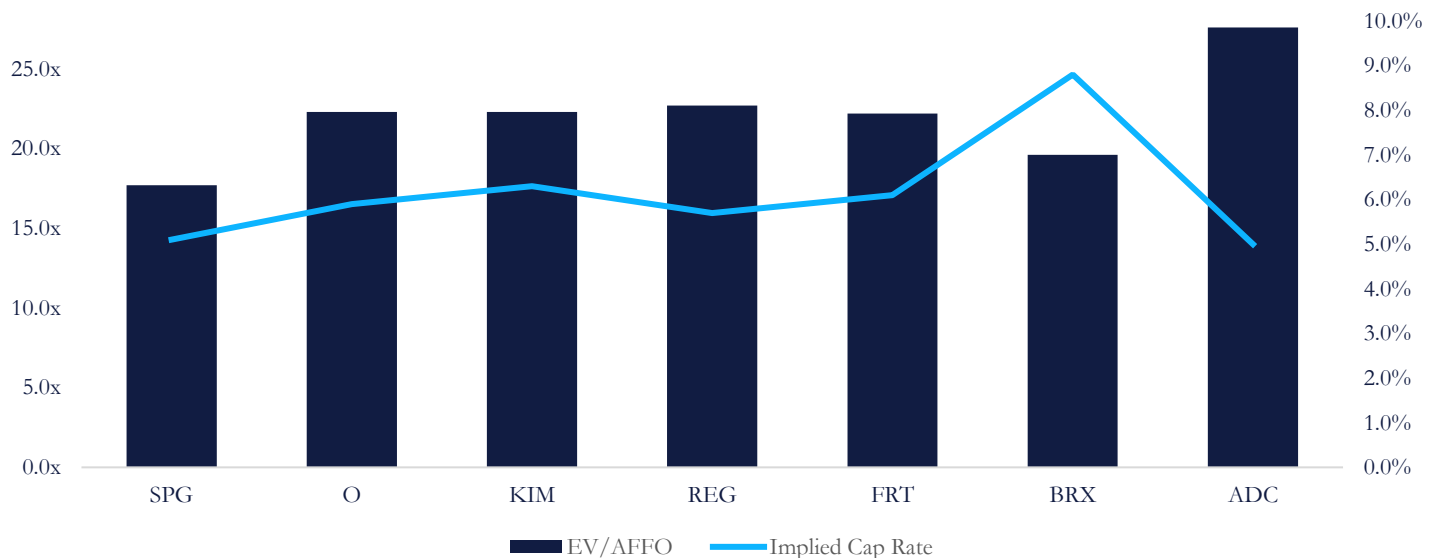
COMPARABLE: VALUATION

\$ in millions of USD (As of 12/3/25)

Company	EV/FFO	EV/AFFO	FFO/Share	P/FFO	Implied Cap Rate
SPG	17.8x	17.7x	12.3x	14.2x	5.1%
O	22.2x	22.3x	4.1x	14.1x	5.9%
KIM	19.7x	22.3x	1.8x	4.7x	6.3%
REG	22.8x	22.7x	4.5x	15.9x	5.7%
FRT	21.8x	22.2x	7.1x	13.5x	6.1%
BRX	19.6x	19.6x	2.2x	12.0x	8.8%
ADC	27.6x	27.6x	3.8x	19.0x	5.0%
Lower	19.7x	21.6x	2.1x	10.2x	5.5%
Median	22.0x	22.3x	4.0x	13.8x	6.0%
Mean	22.3x	22.8x	3.9x	13.2x	6.3%
Upper	24.0x	23.9x	5.1x	16.7x	6.9%

REIT investors typically focus on Funds from Operations (FFO) and Adjusted Funds from Operations (AFFO) rather than Net Income since these add back depreciation. The EV/AFFO ratio measures how much investors are willing to pay per one dollar of adjusted cash flow; with a lower multiple suggesting the REIT is more efficiently generating cash flows relative to its market value and could potentially be undervalued. FFO per share is comparable to a traditional stock's Earnings per share metric, while P/FFO is similar to a P/E ratio. The graph below shows the Enterprise Value to Adjusted Funds From Operations ratio to implied cap rate. According to the EV/AFFO ratio, Simon Property Group and Brixmor appear to be undervalued relative to their peers. Although EV/AFFO provides strong color, it is essential to compare against other ratios too. Although Simon Property Group may seem undervalued when looking at EV/AFFO, its FFO/share ratio is high and its P/FFO is about average, demonstrating Simon Property Group is not as undervalued as EV/AFFO portrays. Implied cap rate further demonstrates relative valuation, with a high cap rate demonstrating a higher risk portfolio with higher potential returns. According to cap rates, Brixmor is the riskiest stock and would potentially be a strong value-add opportunity contrasted by Agree Realty Corp's relatively low cap rate, and therefore lower risk of capital loss.

EV/AFFO to Implied Cap Rate



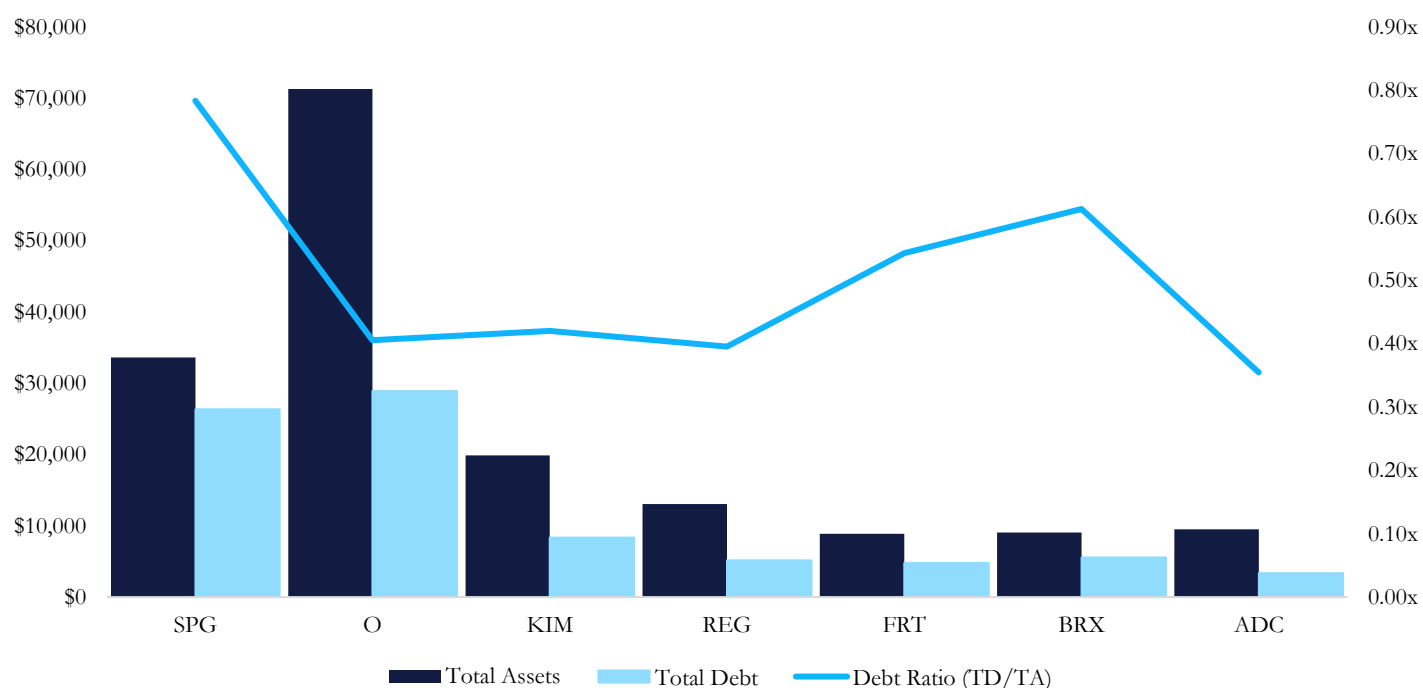
COMPARABLE: LIQUIDITY

\$ in millions of USD (As of 11/23/2025)

Company	Total Assets	Total Debt	Debt Ratio (TD/TA)	FFO / Total Debt
SPG	\$33,602	\$26,319	0.78x	0.19x
O	71,279	28,898	0.41x	0.11x
KIM	19,880	8,346	0.42x	0.14x
REG	13,059	5,159	0.40x	0.16x
FRT	8,862	4,809	0.54x	0.13x
BRX	9,049	5,541	0.61x	0.12x
ADC	9,484	3,362	0.35x	0.12x
Lower	9,049	4,809	0.40x	0.12x
Median	13,059	5,541	0.42x	0.13x
Mean	23,602	11,776	0.50x	0.14x
Upper	33,602	26,319	0.61x	0.16x

Simon Property Group (SPG) stands out amongst its peers as most levered REIT. It's debt ratio of 0.78x is much higher than the average of 0.50x, signaling that they have the most aggressive capital structure of the bunch. However, they also have the strongest FFO/Total Debt, enabling them to operate even at such a high leverage. This makes sense, as they own many luxury retail properties and have relationships with very strong/ upscale tenants, enhancing their credit strength. Realty Income (O) stands out for its high number of total assets (\$71.3B), which its able to maintain even with relatively low leverage (0.41x). This also makes sense, considering their strategy, as Realty owns a lot more properties (15k+) than any other REIT in the dataset, with their average property value being much lower than that of SPG. Agree Realty (ADC) has a smaller asset base, but operates the most conservatively with a debt ratio of just 0.35x. Brixmor (BRX), on the other hand, maintains a fairly high leverage (0.61x) despite their smaller asset base of \$9B.

Total Assets vs Debt Ratio



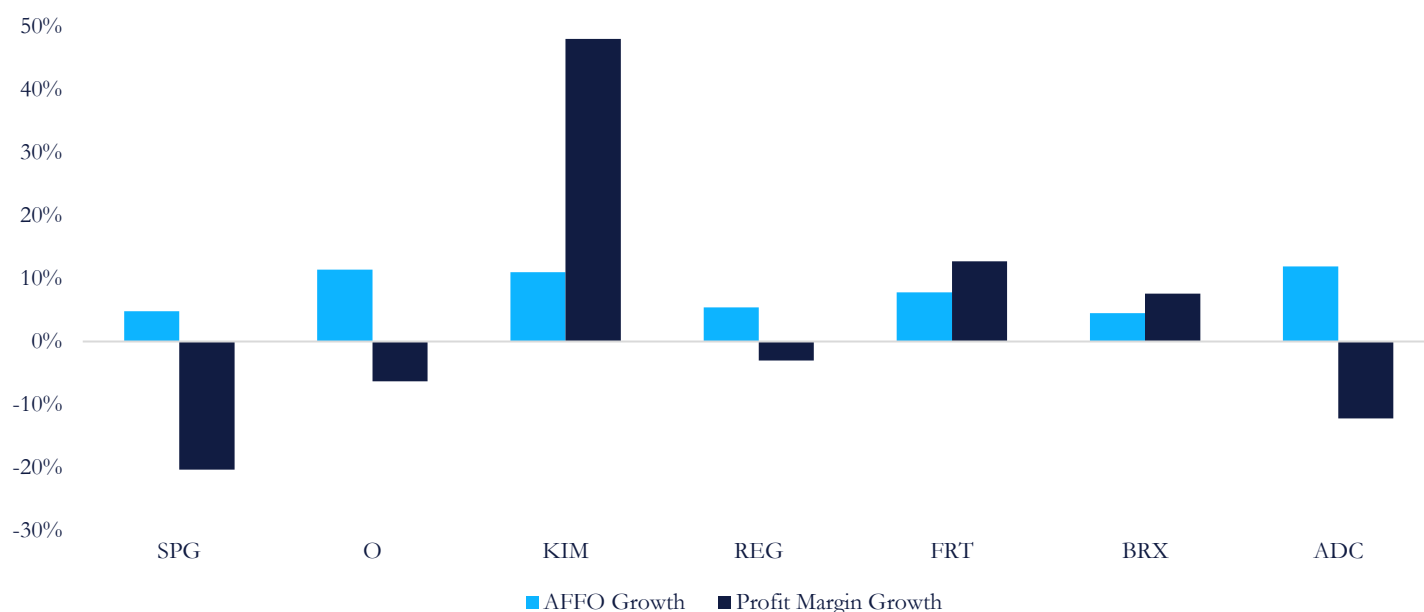
COMPARABLE: PROFITABILITY

\$ in millions of USD (As of 6/30/2025) All data LTM, Growth is YoY

Company	FFO	FFO Growth	AFFO	AFFO Growth	NOI	NOI Growth	Profit Margin	Profit Margin Growth
SPG	5,004	(7.1%)	4,465	4.8%	4,014	4.7%	44.0%	(20.3%)
O	3,170	15.3%	3,274	11.4%	4,188	14.6%	17.9%	(6.3%)
KIM	1,174	14.4%	1,177	11.0%	1,443	10.4%	28.5%	48.0%
REG	817	6.3%	821	5.4%	1,036	6.4%	27.0%	(3.0%)
FRT	604	10.2%	591	7.8%	799	1.5%	28.0%	12.7%
BRX	663	4.6%	663	4.5%	1,150	5.0%	25.0%	7.6%
ADC	414	11.9%	414	11.9%	574	13.0%	28.2%	(12.2%)
Lower	604	4.6%	591	4.8%	799	4.7%	25.0%	(12.2%)
Median	817	10.2%	821	7.8%	1,150	6.4%	28.0%	(3.0%)
Mean	1,692	7.9%	1,629	8.1%	1,886	7.9%	28.4%	3.8%
Upper	3,170	14.4%	3,274	11.4%	4,014	13.0%	28.5%	12.7%

While AFFO and Profit Margin are important metrics to evaluate when understanding the profitability of a REIT, they represent different aspects of performance and have trended very differently from each other over the last year. Specifically, while AFFO has shown strong year-over-year growth at an average of 8.1%, Profit Margin has only shown an average growth of 3.8%. Simon Property Group and Agree Realty were the strongest examples of this amongst the comparable set, with their Profit Margin Growth being 25.1% and 24.1% below their AFFO Growth, respectively. The driver behind this negative difference amongst the set of comparables has largely been elevated interest rates over the last few years. Increased costs of capital have increased several GAAP expenses that are significant drivers of Profit Margin but excluded from AFFO. These include increased depreciation and amortization due to higher capital expenditures and tenant improvement costs, and more frequent asset impairments as rising cap rates and interest rates have driven down asset valuations. Despite their difference, AFFO is the more valued metric amongst investors because it has a much stronger impact on dividends than Profit Margin, which is one of the primary motivations amongst REIT investors.

AFFO Growth vs. Profit Margin Growth





BBR

BULL & BEAR RESEARCH

Initiating Coverage:

Simon Property Group (NYSE: SPG)

Simon Property Group

Simon Property Group (SPG) is a retail real estate REIT that specializes in premium, Class A properties, including major urban destination properties, regional malls, and mixed-use developments. They are an S&P 100 company that trades on the NYSE, and owns properties across North America, Europe and Asia.

SPG Differentiation and Strategy

Simon Property Group has distinguished itself by always going after the best properties available on the market. In their most recent earnings report, they wrote that scale, location, and operational rigor yield “durable financial results.” They often seek to own irreplaceable, high-quality assets that have high barriers-to-entry. They look to transform properties via mixed-use redevelopments and an emphasis on experiential retail. Due to their influence, they are also able to leverage strong tenant relationships across luxury retail and entertainment, drawing premium rents.

Financial Performance

When analyzing SPG’s financials in comparison to its peers, it may seem like SPG is slightly undervalued. This is primarily due to it’s relatively low EV/AFFO of 17.7. However, it’s P/NAV sits at over 25, which is very high, and tells an opposite story. It’s implied cap rate of 5.1% conveys minimal risk in SPG’s investments, however, which makes sense considering the quality of the properties that SPG invests in.

Balance Sheet Operations

SPG operates with the most leverage compared to its peers, as its debt ratio sits at 0.78x (compared to the mean of 0.50x). It is able to do so due to the relative stability and credit strength of its properties/ tenants. Due to SPG’s strategy of investing in high-barrier-of-entry, “trophy” properties, they also own relatively few properties (235) compared to their peers but have the second highest total asset value behind Realty Income (O), who owns 15k+ properties, which are much smaller and less valuable on average.

Recent Acquisitions

As touched on earlier, SPG recently acquired Brickell City Center, a destination mall in Miami, FL, in June 2025 for \$512M. In March 2025, SPG acquired the Jakarta Premium Outlets in Indonesia. This is its first premium outlet in Indonesia, a rapidly developing country with international wealth that is expected to grow in the coming years.

Outlook

SPG is well positioned considering the current retail real estate landscape, which heavily favors Class A destination properties that incentivize shoppers to get out of their homes, rather than just ordering online.

Stock Rating	BUY
BBR Price Target	\$202.25
Price (12/01/2025)	\$185.14
Ticker	SPG
Exchange	NYSE

52 Week Range

\$136.34 – 190.14



Jude Anton

Anthony Butsikares

Jonah Brockman

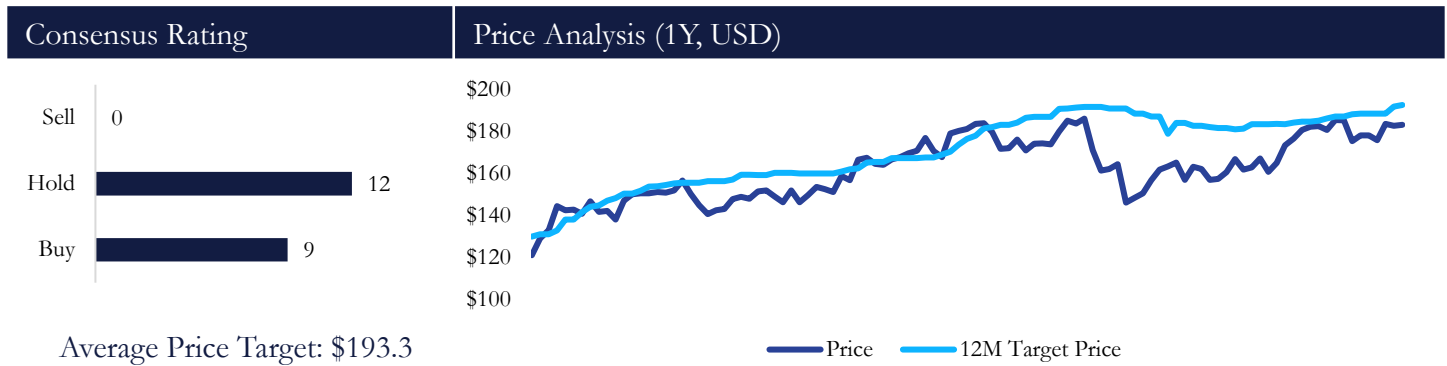
Alexander Foroohar

Angelina Tung

	Multiples	
	SPG	Peers
P/FFO	14.2x	13.2x
EV/FFO	17.8x	22.3x
EV/AFFO	17.7x	22.8x

Stock Information	
Market Cap (B)	\$60.44
Shares Outs. (mm)	326.5
Free Float (%)	95.64
Dividend Yield (%)	4.75

ALTERNATIVE VALUATIONS



Firm	Broker	Date	Analyst Rating	Price Target
BBR	Real Estate Coverage	11/24/2025	Buy	\$202.25
BARCLAYS	Richard Hightower	11/19/2025	Equalweight	\$186.00
Scotiabank	Greg Michael McGinniss	11/13/2025	Sector Perform	\$186.00
J.P.Morgan	Michael W Mueller	11/12/2025	Neutral	\$198.00
Goldman Sachs	Caitlin Burrows	11/11/2025	Buy	\$209.00
Jefferies	Linda Tsai	11/11/2025	Buy	\$202.00
PIPER SANDLER	Alexander D Goldfarb	11/9/2025	Overweight	\$225.00
citibank	Nicholas Joseph	11/4/2025	Neutral	\$170.00
Morgan Stanley	Ronald Kamdem	11/4/2025	Equalweight	\$180.00

Select Commentary			
Jefferies	Rating: Buy	Price Target: \$202.00	Research Team:
- Jefferies highlights Simon Property Group's steady operational momentum, with Q4 leasing and retention metrics tracking ahead of internal expectations. - Revenue growth outlook remains constructive as improving occupancy and modest rent growth support a more stable 2025 earnings profile. - Pipeline activity is set to ramp through 2025–2026, with several projects entering advanced planning stages that are expected to contribute meaningfully to NOI growth upon stabilization.			Linda Tsai

NAV MODEL SUMMARY

Overview

In our valuation of Simon Property Group, we constructed a Net Asset Value Model originating from a three-statement operating model that forecasted into 2030. Our assumptions were largely derived through a triangulation between historical growth, management guidance, and Costar data. The largest drivers of our valuation were NOI growth and the cap rate we assumed. While our assumptions were securely grounded, potential interest rate volatility over the next year could cause fluctuations in each metric. We conducted a sensitivity analysis to account for this risk.

NAV & Market Consensus

We forecast a NAV of \$66,033 million and a NAV per share at \$202.25 in 2026. This result is higher than Bloomberg's market consensus estimate of \$59,770 million in 2026, with a NAV per share of \$183.26. The increase in our valuation relative to the market is largely due to Simon Property Group's strong credit profile as well as their diversified Class A portfolio commanding higher rent growth and NOI growth. Consequently, forecasting higher NOI across their portfolio led to our valuation being approximately 10% greater than the market.

Domestic Rent Growth	NAV	NAV/S
<u>Market</u> 2.7%	<u>Market</u> \$59,770 M	<u>Market</u> \$183.26
<u>BBR</u> 3.7%	<u>BBR</u> \$66,033 M	<u>BBR</u> \$202.25

Year-End 2026 Target Price Sensitivity Analysis

BBR targets a share price of \$209.16 for December 31st, 2026. This is assuming a 7% cap rate, which is the valuation U.S. malls are currently trading at, and thus is a safe assumption to implement in our valuation given the concentration of U.S. malls in Simon Property Group's portfolio. Additionally, forward-looking interest rate uncertainty can impact both NOI and cap rate through causing fluctuations in operating expenses and property valuations. This potential volatility in the two largest drivers of our valuation led us to conduct a sensitivity analysis across a +/- 100 basis point change in cap rates. Overall, the analysis illustrates that Simon Property Group's valuation is stable, with a range of \$164.72 - \$271.69 across potential cap rate and NOI scenarios.

FY26 NOI		Capitalization Rate			
	8.0%	7.5%	7.0%	6.5%	6.0%
6,800	164.72	182.03	201.81	224.64	251.27
6,900	168.55	186.12	206.19	229.35	256.38
6,968	171.15	188.89	209.16	232.55	259.84
7,100	176.21	194.28	214.94	238.78	266.59
7,200	180.04	198.37	219.32	243.49	271.69

MODEL ANALYSIS

Assumptions Explanation

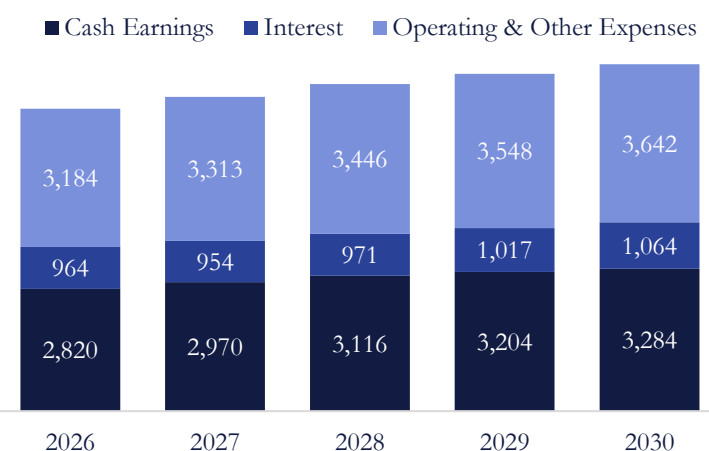
We constructed a conservative segment buildup for NOI, one of the primary drivers of our NAV model. The first projection separates Portfolio NOI into domestic and international properties, after which we add contributions from other platforms not part of SPG's core mall portfolio, financial investments, and miscellaneous income such as parking revenue, to arrive at Beneficial Interest of Combined NOI, or total NOI.

To project Domestic NOI, the largest portion of the total, we relied on CoStar's U.S. Mall Asking Rent growth forecasts and applied an additional 1% annual, which is an average of the historical outperformance of SPG relative to the USA average. This outperformance is expected to continue due to more consistent rent growth on SPG's premier properties. Because reliable international data is limited, we applied a conservative 2% annual growth rate based on the diversified exposure of SPG's international portfolio. Additionally, we applied a 2% growth rate, in line with historical data, on the other NOI contributions. Notably, SPG does not disclose acquisitions and dispositions separately like other REITs. Therefore, we expect a continual modest net acquisition and reinvestment as seen historically.

Credit Analysis

Simon Property Group maintains an A-range credit rating through a strong balance sheet, stable tenants, and high-quality retail properties. This strong credit profile allows SPG to issue more debt when needed to capitalize on retail trends. Therefore, we underwrite an expanding debt stack that grows with NOI. SPG also has a low default risk and maintains strong access to capital markets. As a result, their borrowing costs are relatively low seen with interest expense only representing a small portion of expenses.

Projected NOI Breakdown \$M



SEGMENT BUILDUP

	Historical			Projected				
	2023	2024	2025	2026	2027	2028	2029	2030
Total Domestic NOI	5,274	5,520	5,665	5,874	6,122	6,395	6,608	6,810
% Growth	5.0%	4.7%	2.6%	3.7%	4.2%	4.5%	3.3%	3.1%
CoStar: USA Mall Asking Rent Growth	3.7%	3.1%	2.1%	2.7%	3.2%	3.5%	2.3%	2.0%
International NOI	312	321	359	367	374	381	389	393
% Growth	8.0%	2.7%	12.0%	2.0%	2.0%	2.0%	2.0%	1.0%
Portfolio NOI	5,586	5,841	6,024	6,241	6,496	6,777	6,997	7,203
% Growth	5.2%	4.6%	3.1%	3.6%	4.1%	4.3%	3.3%	2.9%
NOI from Other Platform Inv.	91	(34)	114	117	119	121	124	126
NOI from Inv.	233	239	274	279	285	291	296	302
Corporate & Other NOI Sources	320	319	325	331	338	344	351	358
Beneficial Interest of Combined NOI	6,230	6,365	6,737	6,968	7,237	7,533	7,769	7,990
% Growth	2.8%	2.2%	5.8%	3.4%	3.9%	4.1%	3.1%	2.8%

Team Outlook

Retail Market Stability

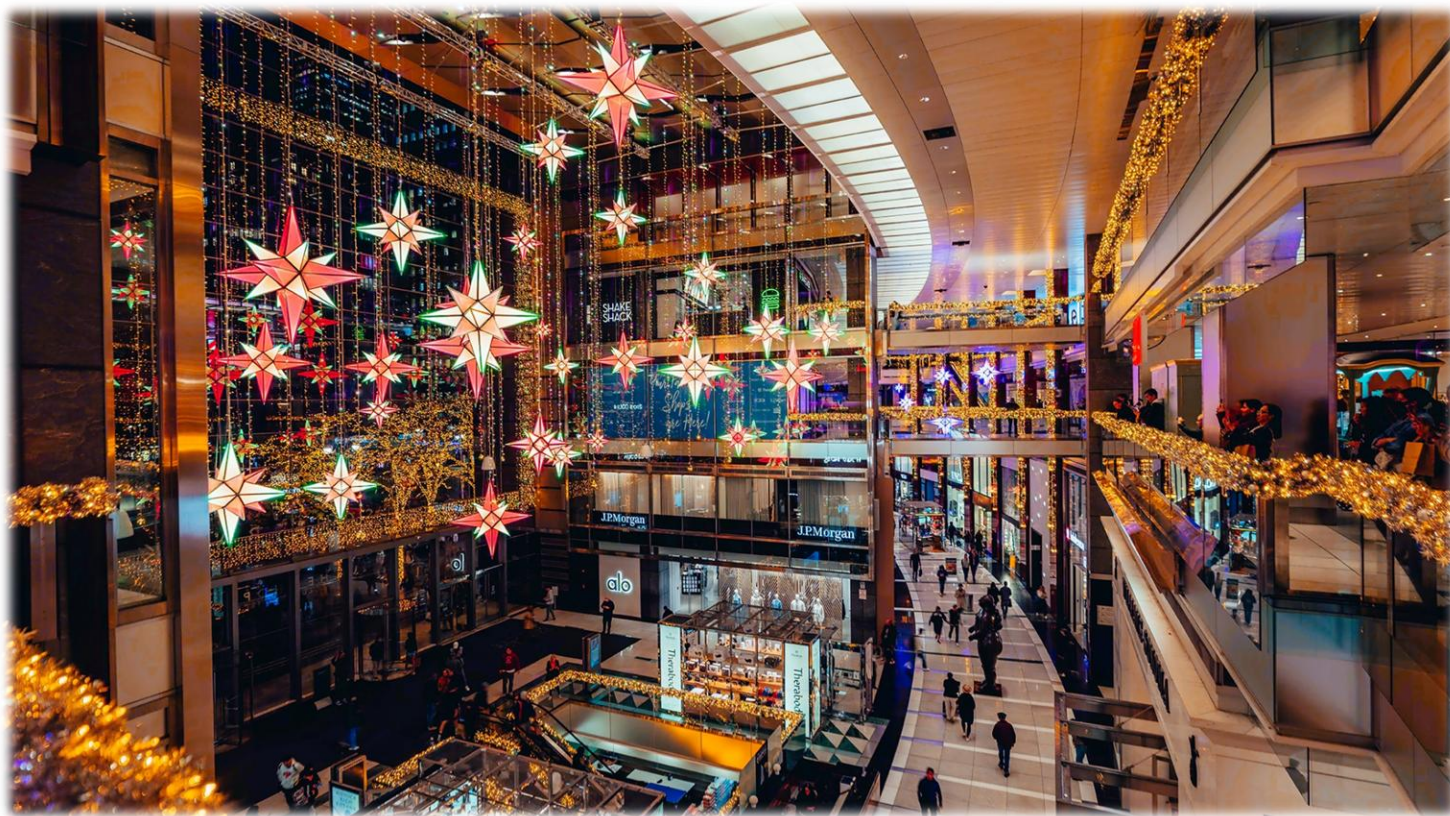
As we look ahead to 2026, the retail real estate landscape feels like it's finally stepping out of a long transition period and into a more stable, self-sustaining rhythm. After years defined by volatility, oversupply concerns, and shifting consumer behavior, the market is now being supported by something it hasn't had in a long time: true scarcity. Vacancy is hovering near a 20-year low at roughly 4.7%, and with only 50 million square feet of retail space under construction across the entire country, the pipeline is thinner than anything seen since the late 2000s. That limited supply, combined with the repositioning and demolition of older stock, has quietly strengthened landlords' pricing power, allowing rents to keep rising, about 1.9% year over year, even as certain subsectors work through slower absorption.

Capital Market Momentum

Retail capital markets have meaningfully reopened as spreads tighten, and lender confidence improves. Through Q3 2025, retail investment sales reached \$40B, a 38% YoY increase. Refinancing has also rebounded, with \$45.7B in volume over the trailing year, while loan originations for retail properties doubled YoY.

Forward Looking Trends

As 2026 approaches, forward-looking trends point toward a retail sector that is steadily regaining momentum, driven by a combination of tight supply, resilient consumer behavior, and strengthening capital markets. With availability sitting near 4.7%, the limited pipeline continues to push retailers toward experience-rich corridors and high-traffic urban districts, where foot traffic has risen 1.8% YoY and brands are increasingly leveraging in-store experiences to differentiate themselves from e-commerce. These dynamics are reinforcing rent growth and supporting record pricing in markets like SoHo and Brickell. On the investment side, liquidity is expanding as retail transaction volume climbs 38% YoY and lenders return with tighter spreads and greater underwriting confidence. Cap rates, stabilized in the 5–6% range, are expected to compress modestly as investor appetite improves and bid-ask spreads narrow. Taken together, these trends reflect a sector moving into a disciplined but optimistic expansion phase, and one defined by strong location preference, elevated tenant quality, and sustained demand for differentiated, experience-led retail environments.



Meet the Team



Jude Anton is a finance undergraduate student. Jude brings real estate private equity experience from Cypress Equity Investments, on their Investments team. He also has experience working in Investment Consultant Relations at MFS Investment Management. This is Jude's third semester in Bull & Bear Research, where he began as an analyst on the real estate team before progressing to the director position.

Jude is currently pursuing full-time opportunities in institutional commercial real estate, with a focus on the West Coast.



Anthony Butsikares is a finance undergraduate student. Anthony brings real estate private equity experience from Gindi Equities on their Acquisitions team. Anthony will continue to work part-time on their Acquisitions team prior to his graduation in May. Prior to this, he has experience at Rialto Capital and Jefferies.

Anthony will be serving as the Director of Real Estate during the Spring Semester. Upon his graduation in May, Anthony will begin as a Rotational Analyst at Lument, working in commercial real estate debt.



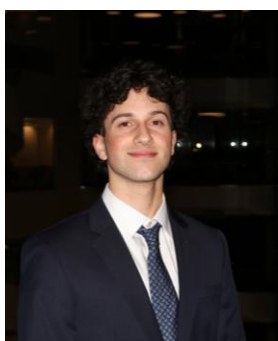
Jonah Brockman is a finance undergraduate student with a minor in economics within the D'Amore-McKim School of Business. He brings experience in private credit from his first co-op at Brookside Capital Partners. Jonah is also involved as a Research Analyst in the Northeastern Private Equity and Venture Capital Club.

He is an incoming Global Capital Markets Co-op at Morgan Stanley.



Angelina Tung is a second-year pursuing a degree in Psychology and Economics. She brings experience from her role as a Real Estate Acquisitions Intern at 60 Guilders LLC. Angelina is also an involved member in TAMID's Investment Fund and Northeastern's Developmental Neuropsychobiology Lab.

Angelina is excited to begin her co-op in January 2026 at Morgan Stanley, working in the Equity Research division on the REIT team. Angelina is interested in exploring careers in Research, Investment Banking, and Real Estate Private Equity.



Alex Foroohar is a second-year Finance and Economics student at Northeastern University, originally from Brooklyn, New York. He has worked in Real Estate Private Equity at Blue Flag Capital and in M&A advisory at Evergreen M&A.

Alex will be building on his real estate experience serving as a Real Estate Analyst at Northland Investment Corporation this spring. After graduation, he hopes to build a long-term career in Investment Banking, Venture Capital and eventually pursue an entrepreneurial venture of his own.